

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 15-11

IGOR OVCHINNIKOV, IRINA RZAEVA, and DENIS NEKIPELOV,

— vs. —

**MICHAEL HITRINOV a/k/a
MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

INFORMAL DOCKET NO.: 1953(I)

KAIRAT NURGAZINOV,

— vs. —

**MICHAEL HITRINOV a/k/a
MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

**APPENDIX TO COMPLAINANTS RESPONSE TO RESPONDENTS' PETITION FOR
LEAVE TO SUPPLEMENT EXCEPTIONS**

APPENDIX “1”	Presiding Officer’s Order of September 16, 2016
APPENDIX “2”	Respondents’ Exceptions to the Presiding Officer’s Order of September 16, 2016
APPENDIX “3”	Complainants’ Response to Respondents’ Exceptions to the Presiding Officer’s Order of September 16, 2016 (Appendix thereto previously provided as part of Complainants' original filing)

APPENDIX “1”

S	E	R	V	E	D
September 16, 2016					
FEDERAL MARITIME COMMISSION					

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ORDER DENYING WITHOUT PREJUDICE MOTIONS TO DISQUALIFY COUNSEL

Shortly after these cases began, I issued an order striking a request for relief made by email rather than by written motion.

On December 29, 2015, counsel for Complainants sent an email to the email address for this office with an attached "Status Report and Request for Notice of Default." Counsel copied the Commission's Secretary on the email.

On November 24, 2015, the undersigned issued an Initial Order controlling certain aspects of this proceeding. *Inter alia*, the Initial Order states: "Any request for action by the Commission or presiding officer must be made by motion, not by

letter or email request.” *Igor Ovchinnikov, Irina Rzaeva, and Denis Nekipelov v. Michael Hitrinov a/k/a Michael Khitrinov, Empire United Lines Co., Inc., and Carcont, Ltd.*, FMC No. 15-11, Order ¶ 14 (Nov. 24, 2015) (Initial Order). I note that there is no certificate of service in the email or the attachment indicating that the Status Report and Request for Notice of Default was served on Respondents. *See* 46 C.F.R. § 502.114. In consideration of the foregoing, it is hereby

ORDERED that the Status Report and Request for Notice of Default be **STRICKEN** for failure to comply with the Commission’s Rules of Practice and Procedure and the Initial Order.

Igor Ovchinnikov, Irina Rzaeva, and Denis Nekipelov v. Michael Hitrinov a/k/a Michael Khitrinov, Empire United Lines Co., Inc., and Carcont, Ltd., FMC No. 15-11, Order ¶ 14 (ALJ Dec. 30, 2015) (Order Striking Letter Motion).

Despite the Initial Order and the December 30, 2015, Order, the parties have liberally used email to argue their positions on substantive and procedural matters. *See, e.g., Ovchinnikov v. Empire*, FMC No. 15-11 (ALJ Apr. 22, 2016) (Order Enlarging Time to Respond to Motion for Stay) (describing arguments made in emails). *See also* Email thread of April 28, 2016, among Respondents’ counsel Eric C. Jeffrey (Jeffrey), the Secretary, and Complainants’ counsel Marcus Nussbaum (Nussbaum) regarding Jeffrey’s inquiry of the Secretary regarding back-up plans for time-sensitive matters when the presiding officer is not available; Email thread of June 15, 2016, among Jeffrey, the Secretary, and Nussbaum regarding Respondents’ misnamed response to Complainants’ motion to compel; Email thread of June 24-27, 2016, among Jeffrey, the Secretary, and Nussbaum regarding Jeffrey’s associate. The email comments included *ad hominem* attacks on counsel and assistants to counsel, reflecting the apparent deterioration in the relationship between counsel.

On June 29, 2016, I entered a second order referencing this paragraph of the Initial Order.

Paragraph 14 of the Initial Order states: “Any request for action by the Commission or presiding officer must be made by motion, not by letter or email request.” *Igor Ovchinnikov, Irina Rzaeva, and Denis Nekipelov v. Michael Hitrinov a/k/a Michael Khitrinov, Empire United Lines Co., Inc., and Carcont, Ltd.*, FMC No. 15-11, Order ¶ 14 (Nov. 24, 2015) (Initial Order). Counsel for both parties have included inappropriate requests for relief in emails to which are attached documents submitted to the Secretary for filing. The documents submitted have been filed. The parties are advised that the comments in the emails are not considered part of the record and will not be considered when ruling on the merits of these proceedings. The Secretary will maintain the emails as correspondence.

I note that this is the *second* order in this proceeding referencing Paragraph 14 of the Initial Order and inappropriate comments in emails. *See Igor Ovchinnikov, Irina Rzaeva, and Denis Nekipelov v. Michael Hitrinov a/k/a Michael Khitrinov,*

Empire United Lines Co., Inc., and Carcont, Ltd., FMC No. 15-11 (Dec. 30, 2015) (Order Striking Letter Motion). The parties are admonished not to include inappropriate comments in their emails to the Secretary.

Igor Ovchinnikov, Irina Rzaeva, and Denis Nekipelov v. Michael Hitrinov a/k/a Michael Khitrinov, Empire United Lines Co., Inc., and Carcont, Ltd., FMC No. 15-11 (ALJ June 29, 2016) (Notice to Parties Regarding Email Submissions).

The relationship between counsel continued to deteriorate until each filed a motion to disqualify the other. On September 7, 2016, counsel for Respondents filed a Motion of Respondents' Counsel for an Order to Show Cause Why the Commission Should Not Revoke Complainants' Counsel's Privilege of Practicing Before the Commission. The motion cites Commission Rule 26, which states: "An attorney practicing before the Commission is expected to conform to the standards of conduct set forth in the American Bar Association's Model Rules of Professional Conduct in addition to the specific requirements of this chapter." 46 C.F.R. § 502.26. The motion then sets forth several provisions of the Model Rules allegedly violated by Complainant's counsel. On September 8, 2016, counsel for Complainants filed Complainants' Cross-motion for an Order to Show Cause as to Why the Commission Should Not Suspend Eric Jeffrey, Esq. From Practicing Before the Commission for a Period of Not less than Six Months and as to Why He Should Not Be Personally Removed as Counsel for the Respondents; and Response to Respondents' Motion for an Order to Show Cause Why the Commission Should Not Revoke Complainants' Counsel's Privilege of Practicing Before the Commission. The Cross-motion denies the claims in Respondents' counsel's motion and alleges that counsel for Respondents is unfit to practice law and should be disqualified from practicing before the Commission.

I take official notice, 46 C.F.R. § 502.226, that Complainants' counsel Nussbaum and Respondents' counsel Jeffrey are each involved in other proceedings pending before the Office of Administrative Law Judges or the Commission itself. *See, e.g., MAVL Capital Inc., IAMAL Group Inc., and Maxim Ostrovskiy v. Marine Transport Logistics, Inc. and Dmitry Alper*, FMC No. 16-16 (Nussbaum – pending before this administrative law judge); *Crocus Investments, LLC and Crocus, FZE v. Marine Transport Logistics, Inc. and Aleksandr Solovyev a/k/a Royal Finance Group Inc. (Crocus v. MTL)*, FMC No. 15-04 (Nussbaum – pending before the Commission); *Baltic Auto Shipping, Inc. v. Michael Hitrinov a/k/a Michael Khitrinov and Empire United Lines Co., Inc.*, FMC No. 14-16 (Nussbaum – pending before the Commission); *Landers Brothers Auto Group, Inc. d/b/a Landers Honda (Jonesboro), et al. v. Nippon Yusen Kabushiki Kaisha, et al.*, FMC No. 16-11 (Jeffrey – pending before another administrative law judge); *Rush Truck Centers of Arizona, Inc., et al. v. Nippon Yusen Kabushiki Kaisha, et al.*, FMC No. 16-10 (Jeffrey – pending before another administrative law judge); *Jill M. Alban, et al. v. Nippon Yusen Kabushiki Kaisha, et al.*, FMC No. 16-07 (Jeffrey – pending before another administrative law judge); *Cargo Agents, Inc., et al. v. Nippon Yusen Kabushiki Kaisha, et al.*, FMC No. 16-01 (Jeffrey – pending before another administrative law judge). Each may have other matters pending before other offices in the Commission.

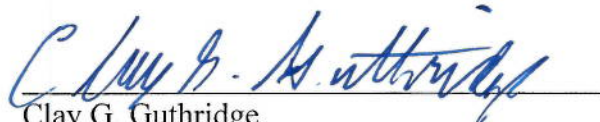
Both motions seek disqualification of counsel from appearing before the Commission. By necessity, this would include disqualifying counsel from appearing in matters that are not only before another administrative law judge, but before the Commission itself. These claims should be directed to the Commission, not to an administrative law judge in an individual case. Therefore, I will deny the motions without prejudice to the parties presenting the arguments to the Commission in a more appropriate manner.

I note that the knowledge claimed by counsel may impose on that counsel an obligation to report the information to a state bar licensing authority for appropriate action.

ORDER

Upon consideration of Motion of Respondents' Counsel for an Order to Show Cause Why the Commission Should Not Revoke Complainants' Counsel's Privilege of Practicing Before the Commission and Complainants' Cross-motion for an Order to Show Cause as to Why the Commission Should Not Suspend Eric Jeffrey, Esq. From Practicing Before the Commission for a Period of Not less than Six Months and as to Why He Should Not Be Personally Removed as Counsel for the Respondents; and Response to Respondents' Motion for an Order to Show Cause Why the Commission Should Not Revoke Complainants' Counsel's Privilege of Practicing Before the Commission, and for the reasons stated above, it is hereby

ORDERED that the motions be dismissed without prejudice to presenting them to the Commission in a more appropriate manner.


Clay G. Guthridge
Administrative Law Judge

APPENDIX “2”



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October 11, 2016

VIA FIRST CLASS MAIL

Ms. Rachel Dickon
Assistant Secretary of Federal Maritime Commission
800 North Capitol St.
Room 1046
Washington, D.C. 20573

Re: Docket No. 15-11 – Ovchinnikov v. Hitrinov

Dear Ms. Dickon:

Enclosed for filing in the above-captioned matter are an original true copy and five (5) additional copies of:

1. Exceptions of Respondents' Counsel to the Presiding Officer's September 16 Decision not to Consider Disciplinary Action Against Complainants' Counsel

If you have any questions, please do not hesitate to contact me.

Best regards,

Eric Jeffrey

Enclosures

FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

DOCKET NO. 15-11

IGOR OVCHINNIKOV, ET AL
v.
MICHAEL HITRINOV ET AL

Consolidated With
DOCKET NO. 1953(I)

KAIRAT NURGAZINOV, ET AL
v.
MICHAEL HITRINOV ET AL

EXCEPTIONS OF RESPONDENTS' COUNSEL TO
THE PRESIDING OFFICER'S SEPTEMBER 16 DECISION NOT TO
CONSIDER DISCIPLINARY ACTION AGAINST COMPLAINANTS' COUNSEL

The undersigned, Counsel for Respondents Empire United Lines and Michael Hitrinov (collectively Empire) hereby files exceptions to the September 16, 2016 decision of the Presiding Officer denying, without addressing the merits and without prejudice to raising the matter elsewhere, my motion requesting that the Presiding Officer commence a disciplinary proceeding to consider substantial violations by Counsel for Complainants of the ethical requirements of Federal Maritime Commission (FMC) Rule 26, 52 CFR 502.26. It is the undersigned's position that the Presiding Officer should have considered the facts set forth in the motion and should have taken appropriate disciplinary action based thereon -- most sensibly issuance of an order requiring Complainants to show cause why they should not be disciplined. Under the

circumstances, I believe that the proper administration of justice warrants the Commission passing on the matter itself, rather than remanding it to the Presiding Officer.

I. INTRODUCTION

The opportunity to practice law before the Commission is a privilege, not a right. As a condition of that privilege, FMC Rule 26 requires attorneys practicing before the Commission to adhere to specified rules of conduct and practice:

“[a]n attorney practicing before the Commission is expected to conform to the standards of conduct set forth in the American Bar Associations Model Rules of Professional Conduct as well as the specific requirements of this Chapter.” 46 C.F.R. 502.26.

One of the requirements to which those practicing before the FMC are subject is the obligation to report certain types of transgressions to the Commission, in order to protect the public. Model Rule 8.3(a) & Comment 1 thereto (“Self-regulation of the legal profession requires that members of the profession initiate disciplinary investigation when they know of a violation of the Rules of Professional Conduct”). The FMC’s Rules do not, however, specify a procedure by which counsel are expected to discharge this obligation.

It may well be appropriate for the FMC to amend its rules to add specific procedures for reporting misconduct. Until then, however, it appears to the undersigned that the appropriate procedure is to bring the matter to the attention of the Presiding Officer, as advised by the Office of the Secretary, and for the Presiding Officer to issue an appropriate order or Recommended Decision, subject to review by the Commission.

II. BACKGROUND AND PROCEDURAL HISTORY

Although the particular nature of the underlying proceeding has no effect on the ethical issues raised herein, a brief and simplified recitation of the fundamental facts may provide useful context. At issue in the proceeding is whether Complainants, who had absolutely no role in the transportation contract – being neither shippers nor consignees – and who did not pay the ocean freight, are nevertheless entitled to assert claims relating to Respondents’ alleged failure to deliver certain vehicles to them (rather than to the named consignee). Complainants allege in their Complaint that they bought certain vehicles from one of a group of companies collectively referred to as Global (each subsequently found by the district court in New Jersey to be alter egos of one another and of Mr. Sergey Kapustin and certain other individuals, and together a single RICO enterprise). It was Global’s responsibility to transport the vehicles to Finland, where another Global entity would collect the vehicles and deliver them to Complainants (after payment of any amounts still due to Global, such as ocean freight and destination terminal charges).

Global was party into a rather complicated arrangement with Empire covering these cars and many others, the exact parameters of which are matters of dispute. In the view most favorable to Complainants, Global retained Empire, acting in its capacity as an NVOCC,¹ to transport containers containing the Global vehicles (often along with other vehicles) from New Jersey to Kotka, Finland, where the containers were to be delivered to the consignee -- a warehouse company known as CarCont Ltd.. There, CarCont would de-containerize the Global vehicles for pickup by a Global entity (found part of the conspiracy) named Global Cargo Oy. Global Cargo Oy, in turn, would – we assume -- arrange for delivery of the vehicles to the

¹ One of the matters in dispute is whether Empire, which had a 60 percent equity interest in the vehicles pursuant to its financial arrangement with Global, was acting as a beneficial cargo owner or in its capacity as an NVOCC when it purchased transportation services from the vessel-operating common carrier (MSC).

pertinent Global customers. Complainants are not named on any of the transportation documents issued either by Empire or by the underlying ocean carrier (MSC) – which list Empire as the Shipper and CarCont as the Consignee – and indeed were unknown to Empire until well after the transportation took place. Because Global declined to pay certain amounts due to Empire and did not request release of the vehicles at issue (and other vehicles shipped pursuant to the same arrangement), as required under the transportation arrangement between Global and Empire, the vehicles were eventually liquidated in Finland – some by Empire to cover the amounts due from Global and the other by CarCont to cover unpaid storage charges due from Global.

Complainants filed their Complaint against Respondents on November 12, 2015, through Counsel Marcus Nussbaum and Seth Katz. From the beginning, Messrs. Katz and Nussbaum had difficulty complying with the FMC’s Rules. Rather than limit the Complaint to claims, if any, that might possibly be grounded in fact and law, as required by FMC Rule 6(a), Complainants’ Counsel chose to file a shotgun Complaint asserting that Respondents violated nearly every prohibition in the Shipping Act, including some that could not conceivably apply. For example, despite identifying Empire as an NVOCC (correctly under its view of the facts), Counsel nevertheless asserted claims under provisions of the Shipping Act that do not apply to NVOCCs, including provisions limited, respectively, to marine terminal operators and controlled carriers.² Likewise, Complainants’ Counsel asserted claims about charges allegedly not in accordance with the tariff, even though the charges were neither assessed against nor paid by Complainants, and even though their theory of injury had nothing whatsoever to do with the rates

² Complainants have since abandoned all but one, or possibly two, of their claims in the face of Respondents’ pending Motion for Judgment on the Pleadings based on lack of subject matter jurisdiction, lack of standing, and failure to state a claim. Briefing on that Motion was completed July 26, 2016, and it is currently awaiting decision (although we understand that the Presiding Officer may request additional briefing).

at which the vehicles moved. Their very first motion was improperly filed by email, and properly rejected.

On July 13, 2016, Mr. Sergey Kapustin, head of the Global companies, filed a motion, on behalf of himself and his Global companies, seeking to intervene in this proceeding for purposes of moving to disqualify Mr. Nussbaum (his and Global's former counsel), on grounds of conflict of interest because Mr. Nussbaum had represented Global in litigation involving these very same vehicles and was using confidential information obtained through that representation to prosecute the instant proceeding. That motion is currently pending before the Presiding Officer

I present below the highlights of the further violations of the FMC Rules, and more importantly the Model Rules of Attorney Conduct, committed by Counsel for Complainants during the rest of the proceeding to date. Suffice it to say here that these include knowing submission of falsified evidence, providing false/misleading statements to the Presiding Officer, and the repeated filing of improper replies without leave to do so or even a request for such leave. The undersigned eventually and reluctantly decided that his obligation under Model Rule 8.3(a) required him to bring the misconduct to the attention of the Commission.³

As it was unclear from the Commission's Rules exactly how to raise a matter of ethical misconduct, the undersigned inquired of the Office of the Secretary (without reference to this proceeding) as to the manner by which questions of attorney conduct might appropriately be brought before the FMC. The answer I received was that the proper place to start was by a motion addressed to the Presiding Officer. The Secretary's Office did not, however, have any

³ Please note that the undersigned (in his role as an FMC attorney subject to Rule 26), was solely responsible for that motion, and is solely responsible for these Exceptions. The duty to report misconduct falls on me, not Respondents, and it is Nixon Peabody, not Respondents, that is bearing the entire cost and burden of the motion and Exceptions.

advice on what type of motion should be brought, given the absence of any known precedent. Accordingly, on September 7, 2016, the undersigned filed the type of pleading typically used in federal district court for such matters – a Motion for an Order to Show Cause Why the Commission should not Revoke Complainants’ Counsel’s Privilege of Practicing before the Commission. I there set out, in the level of detail possible for a 10-page motion, the specific Model Rules and Commission Rules that Complainants’ Counsel had violated, along with a specific legal and factual analysis for each alleged violation.

The next day, Complainants filed their own cross-motion complaining of the undersigned. As that pleading is not at issue in these exceptions, suffice it to say that it failed to cite a single Model Rule or Commission Rule, and relied on vague, blunderbuss allegations of wrongdoing and mental incapacity, rather than any specific factual support.

On September 16, 2016, the Presiding Officer issued the decision here at issue. In brief, he denied both motions without prejudice, concluding that because both sides suggested remedial action extending beyond the instant matter, it was not within his power to address the ethical concerns raised by the motions. He suggested that such matters should be addressed directly to the Commission, but did not identify a mechanism for so doing.⁴ These exceptions followed.

⁴ The Presiding Officer also suggested that the appropriate entity to which to report misconduct occurring before the FMC is the state bar in which the attorney is licensed, and that such reporting is mandatory. I believe that to be contrary both to FMC Rule 26 and to the Model Rules, as well as inconsistent with the procedure of state associations. The requirement to follow the Model Rules is imposed by the FMC, not state bar associations, which in most cases have their own, individual rules of conduct, even if similar to the Model Rules. So unless Rule 26 is merely precatory, a matter I return to below, then it would seem incumbent upon the Commission, not state bars, to enforce the Rule’s prescriptions and proscriptions. Likewise, the Model Rules require counsel in FMC proceedings to report misconduct to the appropriate authority, which would most reasonably seem to be the authority imposing the requirement – i.e., the FMC. Finally, in my understanding, state bars are typically concerned with conduct within

III. ARGUMENT

We show below that: (1) exceptions at this stage are an appropriate means by which to raise the matter for review by the Commission; (2) the Presiding Officer did have authority to rule on the Motion for Order to Show Cause, and even if not, the Commission should rule on the matter *ab initio*; (3) Counsel for Complainants have repeatedly violated both the Model Rules and the Commission's Rules; and (4) the Commission should itself resolve the issues, and any appropriate disciplinary action, without expending the time and resources to remand the matter to the Presiding Officer.

A. Exceptions Are Appropriate To Bring The Matter Before The Commission

Exceptions are usually available as of right only for appeal of: (i) an Initial or Recommended Decision, (ii) dismissal of a complaint in whole or in part, and (iii) denial of a motion to intervene. FMC Rule 227. Other orders that may be issued by a Presiding Officer in the course of a proceeding are normally considered interlocutory, and thus appealable only in connection with exceptions to the Initial or Recommended Decision (or with leave of the Presiding Officer).

Although the question as to exactly how ethical violations may be raised at the FMC is currently *tabula rasa*, we believe that, in the absence of a defined procedure for filing ethical complaints, a Presiding Officer's ruling on a motion for disciplinary action should be treated as final for purposes of permitting/requiring the filing of exceptions. Any such ruling is purely collateral to, and effectively independent of, the proceeding on the merits. Indeed, as evidenced

their jurisdictions, and take notice of extra-jurisdictional activity only after disciplinary action has been taken by the jurisdiction in which the ethical violations occurred.

by the fact that the motion was made in my name, rather than that of Respondents, it is really a conflict between counsel, rather than the parties. See n. 3, above.

The need to treat such rulings as final is obvious if one considers a possible different ruling by the Presiding Officer. Had the Presiding Officer determined that he did have jurisdiction and suspended the privilege of Complainants' Counsel to practice before the Commission, it seems clear that Mr. Nussbaum and Mr. Katz would have had a right of immediate appeal. Nor can it be well argued that an order declining sanctions is without immediate effect. One of the primary purposes of the Model Rules and the obligation to report certain conduct is to ensure protection of the litigating public. It cannot be gainsaid that allowing a person to continue practicing before the Commission (potentially for years) even though he or she has committed serious violations of the Model Rules and Commission Rules is likely to harm the Commission and those who come before it.

B. Either The Presiding Officer Had, Or The Commission Now Has, Jurisdiction To Rule On Discipline

As summarized above, the Presiding Officer held that he did not have jurisdiction to rule on the motion because it requested relief that extended beyond the particular proceeding before him, finding that such claims should be raised, even as an initial matter, directly before the Commission. We understand why the Presiding Officer would be reluctant to become embroiled in such a matter with implications beyond the specific case. But even apart from the fact that the Presiding Officer might have limited any sanction to the case before him, and the apparent

conflict with the Office of Secretary, I believe that the Presiding Officer was in this respect incorrect.⁵

In the federal court system, it is long established that the courts have inherent authority to discipline attorneys appearing before them. *See Ex Parte Burr*, 22 U.S. 529, 531 (1824). It is equally axiomatic that this disciplinary authority includes the power of a court to issue sanctions broader than the case before it. The ABA's Model Rules of Disciplinary Enforcement (Rule IV), for example, state:

“For misconduct defined in these Rules, and for good cause shown, and after notice and opportunity to be heard, any lawyer admitted to practice before this Court may be disbarred, suspended from practice before this Court, reprimanded or subjected to such other disciplinary action as the circumstances may warrant.”⁶

⁵ In opposing the undersigned's motion, Counsel for Complainants took the position that Rule 26 was merely a suggestion (akin to a town hall moderator asking the candidates to play nice), and that the Commission has no authority to prevent them from practicing before the FMC as long as they remain licensed by at least one state. *See* Complainants' September 8, 2016 Cross-Motion for an Order to Show Cause. I disagreed then and I disagree now that Rule 26 is simply precatory and toothless. *See* Respondents' September 14, 2016 Response to Complainants' Motion for an Order to Show Cause. Moreover, Complainants' Counsel entirely undercut their own argument when they found a sufficient basis in law and fact to file their own motion for suspension of the undersigned.

⁶ The Rules of the U.S. District Court for the Western District of Washington, for example, provide:

“(4) Types of Discipline. Discipline may consist of one or more of the following:

- (A) disbarment from the practice of law before this court.
- (B) suspension from the practice of law before this court for a specified period;
- (C) interim suspension from the practice of law before this court, defined as the temporary suspension of a lawyer from the practice of law pending imposition of final discipline. Examples of situations in which the court will consider interim suspension include:
 - (i) suspension upon conviction of a serious crime, or
 - (ii) suspension when the lawyer's continuing conduct is likely to cause immediate and serious injury to a client or the public;
- (D) reprimand, defined as a form of public discipline which declares the conduct of the lawyer improper, but does not limit the lawyer's right to practice before this court;

When ethical violations are brought to the attention of a federal district court judge, they generally either refer the matter to a panel or committee set up for that purpose or address it themselves (often by use of an order to show cause). See, e.g., *MacDraw, Inc. v. CIT Group Equip. Fin., Inc.*, 138 F.3d 33, 37 (2d Cir. 1998) (stating that a district court judge may deal directly with an ethical violation or refer it to the applicable council or both); *NASCO, Inc. v. Calcasieu Television and Radio, Inc.*, 124 F.R.D. 120, 146 (W.D. La. 1989) (inherent powers employed to sanction an attorney and to send a copy of the opinion to state bars where the attorney was licensed).

Moreover, the immediate effect of any disciplinary action by a Presiding Officer – including one with extra-proceeding application – is considerably moderated by the Rules of the Commission and may be entirely ameliorated by the Presiding Officer until the Commission itself gets a chance to make the final decision. Under the FMC’s Rules, any decision by the Presiding Officer imposing discipline would become “inoperative” as soon as the subject(s) of the disciplinary action filed timely Exceptions. Rule 227(a)(5). And even that potential gap of up to 22 days could be eliminated by the Presiding Officer -- who could, among other things, suspend the effectiveness of the order, either as to other proceedings or *in toto*, until the time for filing Exceptions had run. The Commission could, should it so choose, require such suspension, either by rule or by its decision in this matter.

As explained above, the Presiding Officer here suggested that ethical matters, or at least those potentially affecting more than one proceeding, should be brought originally to the Commission itself. There does not appear to be a suitable procedure for requesting such exercise

(E) admonition, defined as a form of non-public discipline which declares the conduct of the lawyer improper, but does not limit the lawyer's right to practice before this court”

of original jurisdiction. Filing a Petition pursuant to Rule 76 appears theoretically possible, although it seems hardly reasonable to require that attorneys to FMC proceedings use a procedure under which they would need to pay \$289 from their own pockets to discharge the Commission-imposed obligation to report misconduct. From an administrative standpoint, however, it appears terribly inefficient to start at the top, when it is the Presiding officer who is more familiar with the facts of the proceeding as to which violations are alleged, and when in some cases the Commission is likely to send the matter down to an Administrative Law Judge for initial development of the facts (by show cause order or otherwise).

If, however, the Presiding Officer is correct as to where the ethical matter should be raised, then the undersigned submits that the Commission now has jurisdiction to address the matter, just as it would have jurisdiction over a Petition. It would strain credulity, not to mention Commission Rule 1, to exalt form over substance by requiring the filing of a Petition setting forth the same information as is set forth herein, especially given the lack of clarity in the Commission's Rules.⁷

C. Complainants' Counsel Have Repeatedly Violated Both The Model Rules And The Commission's Rules

We show in this section of the Exceptions that Counsel for Complainants have engaged in: (i) violations, some repeated, of multiple portions of the Model Rules, and (ii) multiple violations of several of the Commission's own Rules. Because the Model Rules set forth ethical, rather than procedural, requirements, we address those first. Finally, while not specifically constrained by the Model Rules or Commission Rules, we comment on the extreme level of incivility displayed by Counsel for Complainants.

⁷ If the Commission thinks necessary, the undersigned/Nixon Peabody will pay the \$289 fee.

1. Violations of the Model Rules

We demonstrate below that Counsel for Complainants have engaged in multiple and continuing violations of the ABA's Model Rules of Professional Conduct. Although we mostly cite to the Docket (by date and title) for pleadings and materials submitted in the proceedings below, for the convenience of the Commission, we attach hereto some of the principal documents relevant to the substance of the violations.

a. Violations of Model Rules 3.3(a)(3) & 3.4(a)

Model Rule 3.3(a)(3) provides that:

“a lawyer shall not knowingly: . . . offer evidence that the lawyer knows to be false. If a lawyer, the lawyer's client, or a witness called by the lawyer, has offered material evidence and the lawyer comes to know of its falsity, the lawyer shall take reasonable remedial measures, including, if necessary, disclosure to the tribunal.”

Model Rule 3.4(a) likewise states that “[a] lawyer shall not . . . unlawfully alter, destroy or conceal a document or other material having potential evidentiary value.”

Complainants' Counsel – Messrs. Nussbaum and Katz – have repeatedly violated both these Rules by submitting and relying upon documents they knew to be falsified, and by failing to remedy the falsity.

On April 27, 2016, the Presiding Officer ordered both Parties to produce certain “shipping documents,” including the invoices that Empire sent to Global for transportation of the four vehicles at issue. Attached hereto as **Appendix A** are sets of the four Empire invoices to Global – one for each vehicle. In each case, the first document in the set is the invoice Empire actually sent to Global, exactly as it was sent,

and the second is the very same invoice as produced and repeatedly referenced by Complainants' Counsel.⁸

It does not take a forensics expert to see that the documents produced by Complainants' have been heavily doctored from the originals. In particular, there are four obvious alterations fabricated after the invoices left Empire: (i) Empire letterhead was added to what was originally a plain email, (ii) the invoice number was enlarged and moved to appear as a heading, (iii) the invoices were stamped as "paid," and (iv) Mr. Hitrinov's sensitive banking information was added at the top.

Mr. Nussbaum's knowledge of and role in this fabrication is readily apparent. He was counsel to Global at the time the **original** invoices were sent by Empire and received by Global, and he has used the **doctored** invoices he obtained through his position at Global in multiple proceedings. Moreover, as stated in the Affirmation of Jon Werner, attached as **Appendix B**, the template for this fraudulent activity was found during the course of discovery in federal district court litigation on a related matter to reside on Global's computer system. Indeed, Mr. Kapustin himself has stated under oath that Mr. Nussbaum participated in – indeed masterminded – the creation of these fabrications.⁹

Even if one were to engage in the dubious, benefit of any doubt, assumption that Complainants' Counsel did not know of the falsity of the fabricated invoices when they first submitted them to the Presiding Officer, Counsel certainly knew better when they continued to

⁸ Complainants' Counsel cannot seek to shift the blame for this to their clients, as they have made a claim of attorney-client privilege for the native originals, which can only mean that the documents were sent **by Counsel to Complainants**, and not the other way around.

⁹ July 13, 2016 Affirmation of Mr. Sergey Kapustin (Kapustin Aff.) Para. 38. Respondents do not vouch for Mr. Kapustin's testimony, as he has defrauded both his customers and the courts, as well as Empire. Given Mr. Nussbaum's prior attorney-client relationship with Global/Mr. Kapustin, however, we do find this statement at least somewhat telling when added to the other evidence.

rely upon the doctored documents after Respondents demonstrated the falsity of the invoices in their Motion to Strike Complainants’ “Shipping Documents” filed on June 22, 2016. Since that time, Messrs. Nussbaum and Katz have continued to cite these documents without any caveat regarding their falsity.¹⁰ Furthermore, once the falsity of the invoices was demonstrated, Complainants’ Counsel were required by Model Rule 3.3(a)(3) to take remedial measures, but they have chosen not to comply with that ethical requirement.

b. Violations of Model Rule 3.3(a)(1)

Model Rule 3.3(a)(1) provides that:

“a lawyer shall not knowingly: . . . make a false statement of fact or the law to a tribunal or fail to correct a false statement of material fact or law previously made to the tribunal by the lawyer .”¹¹

As explained in the Comments, this is intended to “avoid conduct that undermines the integrity of the adjudicative process” and a lawyer’s duty to represent the client “is qualified by the advocate’s duty of candor to the tribunal.” Comment 2.¹²

During the proceedings below, Mr. Nussbaum knowingly misrepresented his whereabouts to the Presiding Officer and to Respondents in order to help him gain an extension of 20 days to respond to the Motion to Intervene filed by his former client, Mr. Kapustin. On

¹⁰ See, e.g., Complainants’ August 9, 2016 Reply on Supplementation of the Record; Complainants’ August 24, 2016 Motion for Leave to File Sur-Reply to Respondents’ Motion for Judgment on the Pleadings.

¹¹ Such action would also appear to violate Model Rules 4.1(a) (making a false statement of material fact), 8.4(c) (engaging in conduct involving dishonesty or misrepresentation), and 8.4(d) (engaging in conduct prejudicial to the administration of justice).

¹² Although we do not address the matter in detail, we note that Complainants’ Counsel have also violated this rule by misrepresenting quotations, through clever excision, deletion or otherwise, in order to change the apparent meaning of the quote or to disguise that the origin of the quote was not from the court. See, e.g., Respondents’ August 9, 2016 Reply to Complainants’ Response to the Presiding Officer’s Order to Supplement the Record.

July 18, after refusing to give Counsel for Respondents any reason why he was moving for an extension, Mr. Nussbaum stated in his motion only this:

“On the date the motion was filed, the undersigned was traveling overseas in order to attend to a family matter, with limited access to email. This fact has already been acknowledged by counsel for the Respondents, who on July 14, 2016 provided the Secretary and the Presiding Officer with a copy of the undersigned’s ‘Out of Office Auto-reply’, which explained that the undersigned’s law office ‘...will be closed from July 13, 2016 through August 11, 2016.’”¹³

On July 21, 2016, after Respondents filed a response questioning why Complainants needed so long if Counsel was, as appeared, no longer overseas, Mr. Nussbaum asserted for the first time that he was in Israel on a family matter. Respondents thereupon consented to, and the Presiding Officer granted, the requested extension.

As it turns out, and Mr. Nussbaum does not deny, he was in fact back in the United States and practicing law no later than July 28, 2016 and most likely by July 26. On July 28, Mr. Nussbaum physically attended a deposition in another proceeding that took place in Brooklyn, New York. See **Appendix C**, hereto, two emails from opposing counsel in that matter stating: (1) that Mr. Nussbaum attended the deposition in Brooklyn, and (2) that the deposition date was agreed to by Mr. Nussbaum in mid-June eliminating any possible excuse that he made an unexpected return to deal with this matter.

Indeed, it appears quite probable that Mr. Nussbaum was back home by July 26, 2016. That is what his out-of-office auto-reply said before he apparently changed it to August 11. See **Appendix D**, in which opposing counsel in another separate proceeding reported:

¹³ As discussed below, even this auto-response appears to have been a lie.

[B]elow you will see the “auto reply” response I received from Nussbaum after I emailed him on July 12th. It says his office would reopen on July 25th. That’s a big difference – returning on July 25th versus returning on August 12th. Is it possible that this guy sets up different auto responses depending upon who emails him? Is that even possible?¹⁴

This mirrors my own experience. As the undersigned reported below, three emails sent to Mr. Nussbaum within the limited span of a few days received three very different responses – first, an auto-reply stating Complainants’ Counsel would return on July 25, then an auto-reply stating Complainants’ Counsel would return on August 11, then no auto-reply at all.¹⁵

We do not claim that this ethical breach was of the same magnitude as Counsels’ repeated use of fraudulent documents, and Mr. Nussbaum has since said that even when he returned from Israel he was on vacation (other than the deposition). True or not, the obvious lack of candor with the Presiding Officer in connection with a request for a procedural advantage is questionable at best. What is especially troubling about this misrepresentation is how unnecessary it was. Had Mr. Nussbaum displayed candor to the undersigned and to the Presiding Officer – saying perhaps that he was traveling part of the time and would be on vacation at home or pressed by other matters upon his return – the undersigned would have consented as a matter of course and courtesy between counsel, and we expect the Presiding Officer would have granted the extension based on the truth as readily as upon a falsehood.

c. Violations of Model Rule 1.9(c)

¹⁴ On July 26 Complainants submitted their response to the Presiding Officer’s Order to Supplement the Record, signed by Mr. Nussbaum.

¹⁵ So far as we are aware, this odd practice of changing one’s auto-response is not in-and-of-itself unethical, but it certainly appears problematic when used in support of a lie or misleading statement to the tribunal.

Model Rule 1.9(c) states in pertinent part that “[a] lawyer who has formerly represented a client in a matter . . . shall not thereafter . . . reveal information relating to the representation except as these Rules would permit or require with respect to a [current] client.” Mr. Nussbaum flagrantly violated that Rule by knowingly submitting documents belonging to his former client Global in clear violation of an extant Protective Order issued by the United States District Court for the Eastern District of New York.¹⁶ As these were clearly Global’s documents, there appears to be no valid reason why Mr. Nussbaum would still have them in his possession. Furthermore, Mr. Kapustin alleges that Mr. Nussbaum has been using in this matter other non-public documents that he purloined from Global.¹⁷

d. Violations Of Model Rule 1.8(b)

Model Rule 1.8(b) mandates that “[a] lawyer shall not use information relating to representation of a client to the disadvantage of the client unless the client gives informed consent, except as permitted or required by these Rules.” Subject to the possibility of written, informed consent, Complainants’ Counsel would appear to have violated this Rule.

Understanding this violation requires a little, rather simplified, background. The disputes between Empire and Global and between Global and its defrauded customers have spawned a cottage industry of legal proceedings, including the instant matter. In one such proceeding pending in the United States District Court for the District of New Jersey, the complainants have made claims for the value of many vehicles, including the very same vehicles at issue here.

¹⁶ Mr. Nussbaum cannot possibly plead ignorance of the Protective Order, as he represented Global and Mr. Kapustin in the very proceeding in which it was issued.

¹⁷ Kapustin Aff. Paras. 37 and 39. Counsel for Respondents has since the beginning of this proceeding expressed concern that Mr. Nussbaum’s representation of Complainants necessarily raises a substantial issue under Rule Model 1.9(a) as to how he can now pursue litigation adverse to his former clients. As that is more Mr. Kapustin’s issue than ours, however, we do not address it herein.

These cases thus have a direct, mutually-adverse effect upon each other. As the Presiding Officer has orally ruled, Empire cannot be required to pay double for the same vehicles, so whatever amount the first victor (if any) receives as compensation must be subtracted from the compensation available to the second victor. That means that there is a race to the finish line between Complainants here and plaintiffs in the DNJ action. If plaintiffs win their claim for all or part of the value of the four vehicles, then Complainants are out in the cold – they cannot receive such amount as reparations here. The New Jersey plaintiffs are subject to the same tension with Complainants – Complainants’ gain would be their loss.

Despite this necessary and significant antagonism between the conflicting interests of Complainants here and plaintiffs there, counsel in the two cases have been cooperating in a way that benefits neither of their respective clients, but rather seems designed solely more likely that some damage will be assessed somewhere against Empire. On August 27, 2016, one of the attorneys for the New Jersey plaintiffs – Ms. Temkin – planted in that case a “Certification” that was prepared through a joint operation with Mr. Nussbaum.¹⁸ See **Appendix E**. Indeed, the Certification reveals on its very face that it was prepared in coordination with, with and using documents from this proceeding provided by, Mr. Nussbaum.¹⁹ Several days later, Complainants’ Counsel attempted to file that very same Certification in this proceeding.

This raises substantial ethical questions about whom Mr. Nussbaum actually represents. His “clients” and those represented by Ms. Temkin are, as explained above, directly adverse to

¹⁸ Ms. Temkin obviously had no legitimate reason to submit the Certification, other than as a pretext for use by Mr. Nussbaum, in the supposedly separate New Jersey litigation. It was imaginatively filed in purported connection with a motion to disqualify that had been filed in February – ***more than six months earlier***. And the emails referenced therein that the Certification reports on were all dated ***at least two (and generally more) months earlier***.

¹⁹ The assistance supplied by Mr. Nussbaum included providing Ms. Temkin with mail sent to Mr. Nussbaum, and also making available to her filings herein not posted on the FMC website.

each another, so it seems passing strange that counsel for either would help the other at the expense of his/her own clients. Has Mr. Nussbaum explained this obvious conflict to his clients and received their written consent, as required by the Model Rules made applicable to Complainants' Counsel pursuant to FMC Rule 26? Although we are reluctant to believe in conspiracy theories, this latest tactic appears to support Mr. Kapustin's claim in the litigation now pending in the New Jersey district court that Complainants' Counsel and Plaintiffs' New Jersey counsel are less interested in representing their clients' interests than in carrying out a coordinated pincer attack against Empire. Attached hereto as **Appendix F** are two letters from Mr. Kapustin to the DNJ.

There must of course be some allowance for a lawyer's professional judgment as to what will best serve his or her clients. We thus do not challenge Mr. Nussbaum's decision to give up a slam-dunk case against Mr. Kapustin – against whom judgment has already been entered – in favor of a dubious claim against an entity (Empire) with which Complainants had no relationship. Here, however, Mr. Nussbaum's tactics seem plainly adverse to his clients' interests – assuming, as we do, that their interest is in receiving compensation for their asserted losses, rather than simply attacking Empire. By helping plaintiffs, Mr. Nussbaum is reducing the potential for recovery by those he purports to represent.

Moreover, the Certification is nothing more than an attack on Mr. Kapustin, whose Motion to Intervene in this proceeding remains pending. The substantive issues in this proceeding are: (i) whether Complainants can prove they were party to the transportation contract with Empire, (ii) whether Complainants paid Empire directly for the transportation, and (iii) whether Complainants' claim that Empire violated the Shipping Act when it declined to violate its shipping contract by making unauthorized release of the vehicles to Complainants,

rather than the designated consignee, can be squared with Commission precedent to the contrary. Accordingly, questions regarding Mr. Kapustin are of minimal moment here and so there seems no possible argument that this was a legitimate bargain designed to benefit Complainants' pursuance of their claims.

e. Violations of Model Rule 3.4(c)

Model Rule 3.4(c) forbids a lawyer to “knowingly disobey an obligation under the rules of a tribunal, except for an open refusal based on an assertion that no valid obligation exists.” As demonstrated in Part III(C)(2) below, Complainants' Counsel have engaged in repeated knowing violations of multiple FMC Rules, and so have also repeatedly violated this Model Rule.

2. Violations of the FMC Rules

As discussed above, Complainants' Counsel began violating the Commission's Rules at the very outset, when they filed a Complaint itself asserting multiple claims that had absolutely no basis, much less a good faith basis, in fact or law. They have been violating the FMC's Rules, with accelerating frequency, ever since.

We cannot here catalog all of the transgressions committed by Complainants' Counsel. Instead, we focus on a couple of Rules that they have violated with regularity.²⁰

a. Violations of Rule 71(c)

Rule 71(c), applicable to non-dispositive motions, states that a party “may not” file a reply to a response unless either the Presiding Officer requests such reply or the party obtains

²⁰ Complainants' Counsel have also continued to violate Rule 6(a) on a regular basis, by making assertions without any belief, much less a reasonable belief, that they are well grounded in fact. Among these reckless and unsupported assertions are: (i) the entirely groundless claim that the undersigned – who has neither met nor communicated with Mr. Kapustin -- wrote or edited papers submitted herein by Mr. Kapustin, (ii) the obviously specious claim that the undersigned requires a competency evaluation, and (iii) the patently false assertion that the undersigned improperly used a visit to his father's grave as a partial reason for requesting a brief extension of time.

leave based on a showing of “extraordinary circumstances.” Complainants’ Counsel have regularly flouted that requirement with obvious disregard for the Commission’s Rules. For example:

1. On August 24, 2016, Complainants’ Counsel filed a motion for leave to file a sur-reply regarding Respondents’ motion for judgment on the pleadings, as to which briefing had ended a month earlier. After Respondents submitted a response in accordance with the Rules, Complainants’ Counsel filed on August 31, 2016 an improper reply to that response. Nowhere in that response does it state that the pleading was requested by the Presiding Officer or justified by “extraordinary circumstances.” Indeed, the phrase “extraordinary circumstances” appears nowhere in the reply. Respondents, as appropriate, filed a conditional response to that reply, arguing that the Presiding Officer should ignore Complainants’ unauthorized filing (and the conditional response) or, if the Presiding Officer chose to accept Complainants’ improper reply, also consider Respondents’ response thereto due to demonstrated “extraordinary circumstances.” On September 1, Complainants’ Counsel brazenly submitted yet another (second) unauthorized reply, again with no request for leave or any mention of “extraordinary circumstances.”

2. On August 30, 2016, Complainants’ Counsel filed a motion to supplement the record, to which Respondents responded. On September 1, 2016, Complainants’ again filed an unauthorized reply without any request for leave or any attempt to suggest “extraordinary circumstances.”

3. On September 8, 2016, Complainants’ Counsel submitted what on its face is said to be a “Reply to Respondents’ Response to Complainants’ Motion” Once again, there was no attempt to obtain leave, and no mention of any “extraordinary circumstances.”

b. Violations of Rule 71(a)

Rule 71(a) provides that *before* filing a non-dispositive motion, the movant must (i) confer with opposing counsel to resolve or narrow the issues, and (ii) state within the body of the motion what attempt to confer was made. In all of the motions filed by Complainants' Counsel to date, they have only **one** made even the smallest effort to confer. That was Complainants' request for an extension wherein Mr. Nussbaum misrepresented his whereabouts. Even then, all Mr. Nussbaum did was send the undersigned a statement of his intent to make the motion in a few hours – not giving any reason for the lengthy delay and declining to do so when asked.

The two recent motions discussed just above – for leave to file a sur-reply and for leave to supplement the record, are only two of many instances where Complainants' Counsel blatantly ignored Rule 71(a) – neither attempting to confer nor making any report in the body of the motion (or elsewhere). We could easily cite many others.

D. Incivility

Although acts of incivility do not, in and of themselves, violate either the Model Rules or the Commission's Rules, they are contrary to the growing trend among jurisdictions and courts to foster civility, and certainly detract from the Commission's adjudicatory role.²¹

The undersigned understands quite well that litigation is something of a “contact sport,” where each advocate zealously pursues the interests of his or her client. Further, the undersigned readily admits that he has, on occasion, been less temperate than his norm in this provoking proceeding. Nevertheless, there should be limits so that at least a modicum of civility and courtesy is preserved, and the Commission may wish to consider the extreme level of incivility displayed by Complainants' Counsel when deciding what to do regarding the ethical and procedural violations described above.

²¹ The Bar of California, for example, has developed Guidelines of Civility and Professionalism, and the attorney oath now includes a pledge of civility. See California Rule 9.4.

Complainants' Counsel have in this proceeding routinely exceeded any conceivable limit on civility, both in their filings with the Commission and in their correspondence to opposing counsel. As such crudities do not directly violate any rule, we discuss only a few representative instances to give the Commission some flavor as to Counsel's level of discourse. We invite the Commission, however, to review Complainants' other filings in the FMC Docket to obtain a more fulsome picture. Needless to say, none of these claims included any supporting facts.

1. **Complainant's September 2, 2016 "Status Report."** Apart from being mischaracterized as a status report, this filing states such things as: (i) "Complainants have had a growing concern over Mr. Jeffrey's personal mental state, and competency to continue"; (ii) "complainants respectfully suggest that the Presiding Officer schedule a formal competency hearing in order to determine whether Mr. Jeffrey should be taken off this case"; (iii) Complainants "were compelled [to file the status report] due to Mr. Jeffrey's infantile, irrational, and unbalanced reaction [to a threatening email sent by Complainants' Counsel, described below]."

2. **Complainants' September 8, 2016 Reply to Respondents' Response to Complainants' Motion.** Apart from the obvious violation of Rule 719(c), this pleading is notable only for its personal attack on my colleague – Ms. Vohra (which I have referred to and continue to view as "cowardly").²² Even though Messrs. Katz and Nussbaum are fully aware that nothing gets filed by Respondents in this matter without my full attention and review (and in most cases the bulk of the drafting), they deliberately chose to aim not at me, but at the more

²² Mr. Nussbaum in response pointed to his apparently excellent military service, which we assume to be true. Honorable service of the country, however, does not excuse dishonorable service as an attorney or behaving like a schoolyard bully picking on those less able to defend themselves. My statement moreover, was about their conduct in that specific motion, not about their general level of physical courage.

junior member of the team, see e.g., (i) “Though signed by Mr. Jeffrey, said response bears the inimitable mark, poor grammar, inartful drafting, and “moot court” type writing style of Mr. Jeffrey’s demonstrably incompetent junior associate, Ms. Vohra, as the most recent of similar incomprehensible writings of Ms. Vohra”; (ii) “once stripped of ‘first year law student’ Socratic inquiry, and other irrelevant legal-babble”; (iii) “complainants are well familiar with Ms. Vohra’s shocking lack of the first semblance of knowledge of *any* area of law pertaining to the litigation of this matter”; and (iii) “if anything or anyone is “confused” in this matter it is the hapless Ms. Vohra whose knowledge of the applicable law and the significance of the undisputed facts in this matter is as bereft as her legal writing skills.” Ms. Vohra is of course none of these things, and the undersigned would happily match her abilities and knowledge against those of Complainants’ Counsel, but that is not the salient point. No counsel of whatever quality should be subject to such gratuitous abuse in any respectable adjudicatory system.

3. September 1, 2016 email from Mr. Nussbaum to the undersigned (attached as Appendix G). On that date, I received the following unsolicited and entirely unnecessary email from Mr. Nussbaum incorporating what, under the circumstances, I considered and still consider to be a veiled threat:

“Mr. Jeffrey,
No matter how many frivolous submissions you make,
nor [sic] matter how many Rules of Practice and Procedure you break,
we will be watching you.

Regards,

Marcus A. Nussbaum, Esq.
P.O. Box 245599
Brooklyn, NY 11224

Tel: 888-426-4370
Fax: 347-572-0439

<http://www.nussbaumlawfirm.com/>”

Although Mr. Katz and Mr. Nussbaum have tried to play this off as a “light-hearted” prank, due to its origins in a well-known pop song, I read it in a more ominous manner, especially given its unprecedented, “out of the blue” nature, as well as its relevance to nothing. Only after consultation with another lawyer did I conclude that it was arguably too ambiguous to warrant reporting to law enforcement.

4. **September 9, 2016 email from Mr. Nussbaum to the undersigned (attached as Appendix H).** On this date, Messrs. Nussbaum and Katz continued the barrage with another gratuitous threat as well as personal invective, this time in response to my request that they cease sending copies of their emails to Mr. Jeff Lesk, Managing Partner of Nixon Peabody’s Washington, D.C. office, who is neither participating in this proceeding nor interested in such emails. That email included the following:

“As Officers of the Court, and to the extent that it is our belief that you are unethically ‘bilking’ your client through the nonsense and rubbish that you have heaped upon this litigation through your incessant frivolous filings in this matter, which do *nothing* to advance your clients’ hopeless defenses; and to the extent that same would not appear to be in the best interests of your client; together with ever-growing evidence of your own personal mental instability, and concerns over your competence to continue to represent your clients herein, we feel it is our duty to apprise Mr. Lesk, as Managing Attorney of all past, present and future examples of such behavior and conduct, and will therefore continue to do so.

At the least, the foregoing will provide you with yet a further opportunity to bill your client, and to initiate additional frivolous motion practice beyond that with which you have already burdened the Presiding Officer, the Commission, and complainants’ counsel; rest assured that your ability to continue to submit such frivolous filings is shortly to come to an end.”

E. The Commission Should Issue Its Own Show Cause Order

When a matter is on exceptions before the Commission, the Commission has “all the powers which it would have in making the initial decision.” Rule 227(a)(6). The Commission is

thus authorized to issue its own Order to Show Cause why Complainants' Counsel should not be subject to disciplinary action, rather than remand the matter to the Presiding Officer. We urge the Commission to take that path here. As explained above, the violations themselves are clear and numerous, and there is no need for the type of detailed fact development that might warrant a remand to the Presiding Officer.²³ Further, a remand will simply prolong the matter and thus reduce protection of the shipping public from lawyers unable to comply with their ethical and procedural obligations when practicing before the FMC.

Any such Show Cause Order should include Mr. Katz as well as Mr. Nussbaum. Although Complainants' Counsel like to pretend that all pleadings and communications come solely from the pen of Mr. Nussbaum, there are two distinct writing styles at play, and they are easily told apart. This is not only my experience, but also that of other counsel who have litigated against the duo in other cases.

Perhaps more importantly, to the extent that any discipline involves suspension or retraction of the privilege of practicing before the Commission, failure to include Mr. Katz would leave Mr. Nussbaum at liberty to continue practicing through Mr. Katz.

²³ Moreover, the Presiding Officer already has a lot on his plate with respect to this proceeding. Respondents' Motion for Judgment on the Pleadings remains pending, as do numerous ancillary motions.

CONCLUSION

If one bad apple can spoil the barrel, imagine what two can do. For the reasons above, Counsel for Respondents requests that the Commission reject the Presiding Officer's decision to deny jurisdiction and issue its own Order for Complainants' Counsel to Show Cause why they should not be subject to disciplinary action.

Respectfully submitted,



Eric Jeffrey

Nixon Peabody LLP

799 9th Street, N.W., Suite 500

Washington, D.C. 20001

202-585-8000

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing Exceptions of Respondents' Counsel to the Presiding Officer's September 16 Decision not to Consider Disciplinary Action Against Complainants' Counsel by first class mail to the following:

Marcus A. Nussbaum, Esq.
P.O. Box 245599
Brooklyn, NY 11224
Marcus.nussbaum@gmail.com

Seth M. Katz, Esq.
P.O. Box 245599
Brooklyn, NY 11224

Dated at Washington, DC, this 11th day of October, 2016.



Eric Jeffrey
Counsel for Respondents

APPENDIX “3”

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 15-11

IGOR OVCHINNIKOV, IRINA RZAEVA, and DENIS NEKIPELOV,

— vs. —

**MICHAEL HITRINOV a/k/a
MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

INFORMAL DOCKET NO.: 1953(I)

KAIRAT NURGAZINOV,

— vs. —

**MICHAEL HITRINOV a/k/a
MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

**COMPLAINANTS' RESPONSE TO EXCEPTIONS OF RESPONDENTS' COUNSEL TO
THE PRESIDING OFFICER'S SEPTEMBER 16 DECISION NOT TO
CONSIDER DISCIPLINARY ACTION AGAINST COMPLAINANTS' COUNSEL**

Complainants, through their Counsel, Marcus A. Nussbaum, Esq. hereby respond to the Exceptions of respondents' counsel to the Presiding Officer's Order of September 16, 2016 to not consider disciplinary action against *either* party's counsel.

RELIEF REQUESTED

Respondents have, as a prelude to their instant ill-founded application, and from the inception of this litigation, engaged in an unending wasting of scant judicial resources through having made repeated requests for extensions of time, leave for untimely submissions, extension

of page limits, and other contrived reasons in furtherance of forestalling and delaying timely and expeditious litigation of Complainants' claims herein so as to gain unfair advantage, of which Respondents' instant application is only the most recent example thereof.

Respondents have, in their Exceptions to the Presiding Officer's Order of September 16, 2016 (a copy of which is annexed hereto as Appendix "1"), sought that the Commission "pass" on the issue of whether the Presiding Officer should "issue an appropriate Order" or "recommend a decision", "subject to review by the Commission", for undescribed relief set forth only at the last page of their submission, to wit: for the Commission "...to issue its own Order to Show Cause Why Complainants' Counsel Should Not Be Subject To Disciplinary Action, Rather Than Remand The Matter." In so doing, respondents' counsel has blatantly and willfully disregarded the Order of Judge Guthridge of September 16, 2016 setting forth that such issue can only be decided by the Commission. Accordingly, the arguments of respondents' counsel against a "remand" are moot. Notably, respondents' counsel abjectly *fails* to set forth *any* detailed relief that such "show cause order" should contain.

In sum, though manifestly unclear from respondents' submission, respondents' counsel seeks to disqualify complainants' counsel from practicing law before the Commission, on a *permanent* basis (as evidenced by use of the word "revocation"), by reason of perceived "slights" to respondents' junior counsel; a misperceived "threat" occasioned by reference to a popular song lyric; alleged violations of the Commission's Rules of Practice and Procedure ("RPP") which respondents' counsel by Eric Jeffrey, Esq. ("Mr. Jeffrey") has violated with impunity; and other frivolous bases beneath the dignity of the Commission. As set forth below, Mr. Jeffrey has abjectly *failed* to demonstrate why the draconian relief sought in respondents' Exceptions herein should be granted.

INTRODUCTION

At the outset, while complainants would never disagree that it is indeed a “privilege” to practice law and litigate cases before the Federal Maritime Commission (the “Commission”), and without remotely denigrating all respect, ethical considerations, and adherence to the Code of Professional Responsibility associated with practicing before the Commission, least Mr. Jeffrey obfuscate the legal and administrative requirements for practicing before the Commission, as even Mr. Jeffrey is surely well aware, such requirements consist of being admitted to the bar in any one of the fifty states of this country, and bringing forth claims that meet the requirements and conditions precedent regarding personal and subject matter jurisdiction.

It is further noted that Mr. Jeffrey seeks his instant relief under color of *no* section of the RPP; but rather as is his wont, seeks to create “new” law to satisfy his own personal vendetta against complainants’ counsel, in order to at all costs avoid adjudication of the merits of this case.

Complainants’ counsel did not attend law school and become a member of the bar for the purpose of taking away another attorney’s livelihood. Regrettably, the same apparently cannot be said of respondents’ counsel, Eric Jeffrey, Esq. To that end, while complainants did previously interpose a cross-motion requesting that Mr. Jeffrey be suspended from practice before the Commission for a period of no less than six (6) months, such requested relief is not renewed or sought herein. Rather, complainants’ counsel will rely upon the Commission to *sua sponte* address the many examples of Mr. Jeffrey’s behavior and conduct set forth herein with such remedy as the Commission may deem just and appropriate under the circumstances.

As an Officer of the Court, however, complainants’ counsel has been compelled to cast aside personal beliefs in favor of ‘doing what is right’. Having suffered to endure conduct and behavior on the part of respondents’ counsel, Eric Jeffrey which has progressed from mere

insufferable pomposity and gross uncivility to perjury, fraud, and a demonstration of questionable stability, complainants' counsel is further now compelled to re-engage in the distasteful process of interposing a response to Mr. Jeffrey's personal, and visceral vendetta against the undersigned in its latest and most recent form, to wit: respondents' Exceptions to the Presiding Officer's Order of September 16, 2016.

It is difficult, if not impossible, to characterize the breadth and scope of Mr. Jeffrey's outsized ego as demonstrated by the didactic contexts within which he purports to ply his venom; his disdain and lecturing to the Presiding Officer; and his creation of "the law according to Jeffrey", extending well outside the bounds of this Commission's jurisdiction, or the RPP.

Similarly incalculable, is Mr. Jeffrey's megalomaniacal 'world view' of himself as the guardian of the legal profession, charged with a duty to initiate disciplinary investigation. Succinctly stated, while Mr. Jeffrey sees himself as Hercule Poirot, his instant ill-founded Exceptions are more redolent of Inspector Clouseau.

Rather than burden the Commission with a complete cataloguing of Mr. Jeffrey's own many lies and acts of deceitful practice, complainants' counsel will address the most egregious examples of the utter frivolity of Mr. Jeffrey's purported Exceptions, as well as to expose his own grossly unprofessional and unethical conduct and behavior for appropriate scrutiny by the Commission in considering Mr. Jeffrey's Exceptions.

Complainants' counsel has had growing concerns over Mr. Jeffrey's stability, most recently fueled by his perception of a quotation from a popular song lyric as a perceived "threat" deserving of report to law enforcement (which Mr. Jeffrey has silently but wisely 'walked back' from). Suffice it to say that Mr. Jeffrey's characterization of the foregoing as a "prank" exists *nowhere* but in his own mind.

As to Mr. Jeffrey's continuing association with one Jon Werner, Esq. ("Werner"), who Mr. Jeffrey now openly admits is functioning as "coordinating counsel" in this matter, and who has authored more than one affidavit on behalf of Werner/Jeffrey's mutual client, Hitrinov, it is respectfully submitted that if Werner is to be allowed to continue to file submissions with the Commission under the auspices of counsel for the respondents herein, then he should either be compelled to appear in this matter, *pro hac vice*, or cease further unwanted interference with the orderly litigation and adjudication of this case.

With regard to Mr. Jeffrey's inexplicably compulsive obsession with *pro hac vice* counsel, Mr. Katz; and as has been represented to Mr. Jeffrey on *countless* occasions, despite his delusional inability to comprehend same; *all* pleadings, motions, status reports, filings, correspondence, and indeed *all* writings and materials relating to the litigation of this matter from its inception up to and including the time of this writing have been authored and prepared *solely and exclusively* by Marcus A. Nussbaum, Esq., and *not* by Mr. Katz, who has to date played an extremely limited role in the litigation of this matter, having been retained primarily for purposes of depositions and trial hereon.

BRIEF STATEMENT

The decision of Judge Guthridge, whom "the Great Jeffrey" criticizes for failing to rule in his favor (going so far as to state with breathtaking arrogance that the Commission's Rules of Practice and Procedure are *wrong*, and should be amended to suit Mr. Jeffrey's own vindictive purposes) reads in relevant part, as follows:

The relationship between counsel continued to deteriorate until each filed a motion to disqualify the other. On September 7, 2016, counsel for Respondents filed a Motion of Respondents' Counsel for an Order to Show Cause Why the Commission Should Not Revoke Complainants' Counsel's Privilege of Practicing Before the Commission. The motion cites Commission Rule 26, which states: "An attorney practicing before the Commission is expected to conform to the standards of conduct set forth in the American

Bar Association's Model Rules of Professional Conduct in addition to the specific requirements of this chapter." 46 C.F.R. § 502.26. The motion then sets forth several provisions of the Model Rules allegedly violated by Complainant's counsel. On September 8, 2016, counsel for Complainants filed Complainants' Cross-motion for an Order to Show Cause as to Why the Commission Should Not Suspend Eric Jeffrey, Esq. From Practicing Before the Commission for a Period of Not less than Six Months and as to Why He Should Not Be Personally Removed as Counsel for the Respondents; and Response to Respondents' Motion for an Order to Show Cause Why the Commission Should Not Revoke Complainants' Counsel's Privilege of Practicing Before the Commission. The Cross-motion denies the claims in Respondents' counsel's motion and alleges that counsel for Respondents is unfit to practice law and should be disqualified from practicing before the Commission.

I take official notice, 46 C.F.R. § 502.226, that Complainants' counsel Nussbaum and Respondents' counsel Jeffrey are each involved in other proceedings pending before the Office of Administrative Law Judges or the Commission itself. See, e.g., MAVL Capital Inc., IAM & AL Group Inc., and Maxim Ostrovskiy v. Marine Transport Logistics, Inc. and Dmitry Alper, FMC No. 16-16 (Nussbaum- pending before this administrative law judge); Crocus Investments, LLC and Crocus, FZE v. Marine Transport Logistics, Inc. and Aleksandr Solovyev a/k/a Royal Finance Group Inc. (Crocus v. MTL), FMC No. 15-04 (Nussbaum- pending before the Commission); Baltic Auto Shipping, Inc. v. Michael Hitrinov a/k/a Michael Khitrinov and Empire United Lines Co., Inc., FMC No. 14-16 (Nussbaum- pending before the Commission); Landers Brothers Auto Group, Inc. d/b/a Landers Honda (Jonesboro), et al. v. Nippon Yusen Kabushiki Kaisha, et al., FMC No. 16-11 (Jeffrey- pending before another administrative law judge); Rush Truck Centers of Arizona, Inc., et al. v. Nippon Yusen Kabushiki Kaisha, et al., FMC No. 16-10 (Jeffrey- pending before another administrative law judge); Jill M. Alban, et al. v. Nippon Yusen Kabushiki Kaisha, et al., FMC No. 16-07 (Jeffrey - pending before another administrative law judge); Cargo Agents, Inc., et al. v. Nippon Yusen Kabushiki Kaisha, et al., FMC No. 16-01 (Jeffrey- pending before another administrative law judge). Each may have other matters pending before other offices in the Commission.

Both motions seek disqualification of counsel from appearing before the Commission. By necessity, this would include disqualifying counsel from appearing in matters that are not only before another administrative law judge, but before the Commission itself. These claims should be directed to the Commission, not to an administrative law judge in an individual case. Therefore, I will deny the motions without prejudice to the parties presenting the arguments to the Commission in a more appropriate manner.

Indeed, and despite having been compelled to interpose a cross-motion detailing Mr. Jeffery's own lies, deceitful methods of practice, and numerous gross violations of the RPP, the undersigned very much took 'to heart' Judge Guthridge's well-intended meaning with respect to the amount of cases involving both complainants' and respondents' counsel presently pending

before the Commission. Regrettably, so visceral is Mr. Jeffrey's hate and enmity for the undersigned that same apparently eats away with black acid at his heart causing him to at all costs obtain his "pound of flesh" in order to assuage a badly wounded ego obviously never before challenged in a manner as in the case at bar. It is respectfully submitted that it is the latter that has exclusively fueled Mr. Jeffery's instant Exceptions as opposed to any basis in law or fact.

RECENT PROCEDURAL HISTORY

Having obviously lost confidence in respondents' pending Motion for Judgment on the Pleadings based upon the responses of complainants' counsel, Jeffrey/Werner then shifted ground by fraudulently authoring a series of submissions under the name of non-party Kapustin (whom Werner openly and unethically solicited while simultaneously representing respondent Hitrinov herein in an unrelated matter) in hopes of succeeding where his earlier motion became doomed for failure, in a continuing desperate attempt to at any and all costs avoid litigation of this matter on its merits. Out of an obvious fear that this strategy was also destined for failure, Mr. Jeffrey has now resorted to what can only be characterized as an ultimate act of desperation, to wit: a feckless attempt to have the case dismissed by a specious application completely lacking in substance, and entirely belied by the facts, and prior submissions to the Presiding Officer. Stated otherwise, having realized his inability to either having the case dismissed on the pleadings, and accompanying failure to have complainants' counsel "disqualified" through having authored fraudulent submissions under the name of non-party, Kapustin, Jeffrey/Werner now seeks the only other avenue available to respondents to avoid losing an otherwise indefensible case, to wit: the outrageous, preposterous, absurd, ridiculous, and totally unsupported application now made before the Commission, and in doing so, totally abusing the litigation process, and wholly abdicating their responsibilities as an Officers of the Court.

To the extent that as set forth above and below that any alleged Exceptions to the Presiding Officer's Order of September 16, 2016 are completely *lacking* in substance and support, and are made solely in a "bad faith" and last-ditch effort to avoid litigating this case on its merits and to "punish" complainants' counsel for non-existent acts, it is respectfully submitted that the filing of such abhorrent and legally bereft Exceptions should be summarily denied in its entirety, with prejudice.

ARGUMENT

Mr. Jeffrey's Unclean Hands

It is respectfully submitted that Mr. Jeffery has submitted respondents' purported Exceptions with manifest unclean hands.

Mr. Jeffrey's Numerous Violations of the Commission's Rules of Practice and Procedure

Though deifying himself as the holy keeper and guardian of the RPP as well as being the definer, arbiter, and enforcer of same, it is respectfully submitted that the procedural history of this matter is *replete* with Mr. Jeffrey's many "transgressions" of said RPP, including but not limited to the following: (1) using the pretext of unsolicited and so-called "Status Reports" as a means of wrongfully inserting further argument on motions previously made and presently pending without leave of the Presiding Officer to do so; (2) interposing "sur-replies" to complainants' submissions without leave of the Presiding Officer to do so; (3) using the pretext of "letters" to the Presiding Officer as a means of wrongfully inserting further argument on motions previously made and presently pending without leave of the Presiding Officer to do so; (4) filing submissions and attachments with the Office of the Secretary *different* in form, substance and content from the copies of said papers served upon complainants; (5) abjectly *failing* to serve complainants with submissions filed with the Office of the Secretary "in the manner" that said papers were filed, and

making false representations in a Certification regarding methods of service of same; (6) arbitrarily cutting off communications with complainants' counsel via electronic mail and attempting to improperly use the Office of the Secretary as a "go between" (which was rejected by the Secretary); (7) abjectly *failing* to make any good faith attempt to 'meet and confer' with complainants' counsel (by any reasonable interpretation of the meaning of said phrase) prior to interposing motion practice; (8) on such rare occasions as Mr. Jeffrey engaged in the pretense of conducting a 'meet and confer', complainants were, on at least one occasion given *less than one hour* to respond; (9) engaging in the deceitful practice of "postmarking" a mailing and then deliberately holding same for a period of several days in order to effectively "short serve" complainants with various filings and submissions; (10) improperly requesting the Presiding Officer to "shorten" complainants' time to respond to a submission filed with the Commission from the prescribed time limit set forth in the RPP; (11) unreasonably withholding documents proving ownership of the subject vehicles as a central element to complainants' instant claims, causing complainants to needlessly incur time, expense, and costs associated with making a Motion to Compel same presently pending before the Presiding Officer, and further resulting in complainants having to take the extraordinary measure of requesting a So-Ordered subpoena from the Presiding Officer for which a telephone conference has been held hereon resulting in the further needless wasting of time and resources; and (12) willfully and contumaciously refusing to respond directly to inquiries posed by the Presiding Officer on the issue of subject matter jurisdiction, as well as multiple other transgressions and violations of the very rules Mr. Jeffrey so piously purports to defend, too numerous to discuss in their entirety.

It is against this backdrop, and within this context, that Mr. Jeffrey in an epic example of the psychological phenomenon known as "projection" seeks to tar the undersigned with the very

violative, uncivil, and unethical acts with which Mr. Jeffrey has covered himself, his junior associate, and indeed his firm.

Emblematic of the foregoing is Mr. Jeffrey's disgusting conduct and behavior of having abused an otherwise inviolate excuse of the death of a family member as a reprehensible means of taking advantage of an otherwise personal loss, by claiming inadequate time to respond to prior motion practice while all the time making himself personally available to handle other unrelated matters, which Mr. Jeffrey apparently holds in higher regard than the directives of the Presiding Officer herein for whom Mr. Jeffrey has shown open disdain and contempt.

It is respectfully submitted that the very suggestion that *any* attorney would use a personal loss to gain advantage in *any* litigation is not only outside the bounds of professional civility, but is so distasteful and abhorrent that the undersigned will not comment further on this issue, other than to note that in the midst of said professed time constraints, Mr. Jeffrey apparently had the time to interpose yet another motion in this matter.

Mr. Jeffrey's Unwarranted Personal Attack Against Maria Temkin, Esq.

Complainants' counsel will not dignify by response Mr. Jeffrey's wild-eyed and desperately reckless accusations and characterizations of the aforementioned Ms. Temkin as a "partner in crime", other than to note that if anyone has committed "crimes" in this litigation it is respondent Hitrinov and his counsel through their submission of a fraudulent affirmation bearing a forged signature of Hitrinov, together with Mr. Jeffrey's instant collusion with non-party Kapustin to further defraud the Commission. Complainants' counsel will, however, respectfully rely upon the Commission's discretion as to whether at the close of this litigation a referral to the Office of the United States Attorney with respect to the acts, conduct, and behavior of Kapustin, Mr. Jeffrey, and his client Hitrinov, is appropriate.

With regard to Mr. Jeffrey's bizarre, incomprehensible, and unintelligible ravings as to an alleged divergence of interests between the complainants herein and the parties to the action in which Ms. Temkin is a participant, it is respectfully submitted that the fact that there may be no unity of interest between these parties is of no consequence. It is respectfully submitted that the representations contained in Ms. Temkin's Certification (a copy which is annexed hereto as Appendix "2") which Mr. Jeffrey takes such vehement exception to go directly to non-party Kapustin's utter lack of credibility, and warrants a complete rejection by the Commission of any and all of Mr. Jeffrey's references to Kapustin's submissions.

In yet a further example of ultimate irony, Mr. Jeffrey has attempted to denigrate Ms. Temkin, who attested to her own experience with Kapustin as a liar, cheat and fraud. Such irony is only heightened by Mr. Jeffrey engaging in an epic demonstration of the psychological phenomenon known as "projection", wherein Mr. Jeffrey accuses, and has accused complainants' counsel of numerous wrongdoings, when in fact it is Mr. Jeffrey who has violated the codes of professional conduct by turning himself into a veritable "garbage man", poring through the refuse of each and every attorney who has been an adversary in unrelated matters involving complainants' counsel.

Certification of Maria Temkin

Mr. Jeffrey has incoherently attempted to argue that Ms. Temkin having submitted a Certification on issues emanating from a case also involving respondent Hitrinov have incomprehensibly somehow resulted in the undersigned being "...less interested in representing [the undersigned's] clients' interests than in carrying out a coordinated pincer attack against Empire...". It is difficult, if not impossible to describe the ultimate irony of Mr. Jeffrey's duplicitous position on an alleged coordinated "pincer attack", given his relationship with his

minion, Werner. That said, and apart from bombastic pronouncement, Mr. Jeffrey has abjectly failed to demonstrate how information, material, or evidence which goes directly to respondents' bad faith, motives, and credibility could or would in any way be adverse to the interests of the complainants herein. Certainly, and even taken to its most extreme logical connotation, the foregoing cannot remotely rise to a level of alleged conduct which would warrant the revoking of *any* attorney's ability to practice before the Commission, let alone Mr. Jeffrey's unfounded accusations against the undersigned herein.

As to Mr. Jeffrey's patently absurd suggestion that Ms. Temkin prevailing in her case against Hitrinov would 'leave no money' for the complainants herein, it is respectfully submitted that said contention is so unlawyerly and ridiculous on its face to defy response, other than to note that upon information and belief, respondent, Hitrinov has more money than God.

In sum, Mr. Jeffrey does not know Ms. Temkin (an attorney in good standing within all jurisdictions in which she practices), from a burnt biscuit or a hole in the ground, and has no legal, factual, or moral basis to criticize Ms. Temkin in any shape, form, or manner.

Mr. Jeffrey's Personal Support of a Recognized and Proven Liar, Cheat, Fraud, and "Master Criminal" in the Personage of Non-Party Kapustin

The Hitrinov-Kapustin Connection

In that both respondent Hitrinov and Kapustin have demonstrated themselves to being mentally unbalanced, it should come as no surprise to the Commission that Hitrinov and Kapustin have alternately been allies and adversaries in a game of 'situational ethics' as it has suited their individual pecuniary needs.

Emblematic of the foregoing, is the holding of yet another in the several eminent jurists before whom Hitrinov and Kapustin have appeared in the many litigations that each has been involved in, to wit: the Honorable Judge Sandra L. Townes of the U.S. District Court for the

Eastern District of New York in the matter of Global Auto Inc. et al. v. Michael Hitrinov et al. (U.S.D.C. – E.D.N.Y. Docket No.: 13-cv-2479), wherein the Hon. Judge Townes found that respondents Empire United Lines Co. Inc. and Hitrinov were the “financier” of Kapustin’s fraudulent schemes.

As set forth herein, and upon information and belief, Mr. Jeffrey has not only been the proponent and main protagonist in support of the submissions of non-party Kapustin, but through surmise, conjecture, and speculation has fraudulently attempted to create an alleged “conflict of interest” where one does not otherwise exists.

Specifically, through Mr. Jeffrey having woven a tangled web on behalf of non-party Kapustin whose “cause” Mr. Jeffrey has now openly advocated, one fact has emerged crystal clear, to wit: Mr. Jeffrey is actively furthering Mr. Kapustin’s causes herein (whatever they may be) and has, upon information and belief, authored the filings that Mr. Kapustin, a proven fraud, liar, and “master criminal” avers to have written himself. The latter is particularly troubling in light of coterminous indication that an undated Affidavit proffered by Mr. Jeffrey containing a signature purporting to be that of his client, Mr. Hitrinov, has been found to be *highly probable* of having been forged, by an expert witness retained and exchanged by complainants herein, the ultimate irony of which cannot be overstated.

Transcript of “Proof” Hearing Presided Over By The Honorable Judge Noel L. Hillman in the Matter of Akishev et al v. Kapustin et al. (U.S.D.C. – D.N.J. Docket No.: 1:13-cv-07152-NLH-AMD)

With further regard to non-party Kapustin, the Honorable Judge Noel L. Hillman, an eminent jurist of the U.S. District Court for the District of New Jersey had the following to say about potential “Intervenor”, Kapustin upon whom Mr. Jeffrey has so heavily relied:

“...you are engaging not only in a **fraud** against the plaintiffs in this case, *but a fraud against this Court*, and I have warned you repeatedly, and I am not going to warn you

anymore...you appear to be compelled to continue to offer **false excuses, false statements,** and misrepresentations to this Court **designed to defraud this Court** just as you have defrauded the plaintiffs in this case. I am at wit's end with you. ***In my nine years as a judge, I have never seen someone so willing to lie and cheat and steal than you, and your crimes extend to this Court.***” (See, Transcript of Proof Hearing, dated August 31, 2015, *Akishev et al v. Kapustin et al*, at p. 91, a copy of which is annexed hereto as Appendix “3”); (emphasis added).

The Commission is respectfully asked to consider the character and credibility of non-party Kapustin on whom Mr. Jeffery has so heavily relied in considering Mr. Jeffrey’s own credibility with respect to accusations and allegations proffered as the basis for the instant Exceptions at bar.

With further respect to the ongoing collusion between Mr. Jeffery and his minion, Werner in their joint effort to use non-party Kapustin as a “useful idiot” to further Mr. Jeffrey’s personal vendetta against the undersigned, it is undisputed that Kapustin speaks little or no English at all, and that his papers were clearly written by an attorney. Indeed, and in that Mr. Jeffrey has admittedly coordinated with Werner, it is obvious that Werner (who is Respondent, Hitrinov’s counsel in other matters) provided Kapustin (albeit secondhand) with certain of the shipping documents filed herein together with a request that Kapustin “review” said documents. (See, email from Jon Werner to Kapustin of May 27, 2016, annexed hereto as Appendix “4”). It is further significant to note that while Werner (who has not appeared in this matter) purports to have received documents from “Mr. Nussbaum”, the undersigned can affirmatively state that *no* such documents were ever provided by the undersigned to Werner.

To the extent that Mr. Jeffery now has openly averred that Werner is Respondents’ “coordinating litigation counsel”, the Commission should be aware that for quite some time now, Werner is and has been “coordinating” a campaign of personal, *ad hominem* attacks against the undersigned, beginning with Werner having stated to the undersigned as follows: “I don’t know if you are incompetent or just crazy, but either way, I will put you out of business.” It has further

recently come to the undersigned's attention that Werner has contacted all of the undersigned's adversaries on other Federal matters to share information regarding the undersigned's law practice and personal travel abroad.

Kapustin's Waiver of the Attorney-Client Privilege

Annexed hereto as Appendix "5" is a copy of the waiver of the attorney-client privilege executed by Kapustin.

Kapustin's Unbalanced Mental State

Evidence of Kapustin's unbalanced mental state is abundantly provided by the fact that despite his having undisputedly *waived* any attorney-client privilege arising out of complainants' counsel's prior representation of Mr. Kapustin in a submission filed in this matter Kapustin complains that complainants' counsel has "...betray[ed] [the] attorney-client privilege..." the oxymoronic nature of which is self-evident.

As the balance of Kapustin's incoherent motion papers ramble from one issue to another, none of which have any connection with or bear any semblance to the relief sought therein, complainants' counsel will not further burden the Commission with any additional reference to same other than to note Kapustin's admissions as to (1) having waived any attorney-client privilege arising out of the undersigned's prior representation of Kapustin; (2) that he was "...not straightforward all the time with the [C]ourt in other cases..."; and (3) as to the "bitter words" addressed to Kapustin by Judge Hillman of Kapustin being a fraud, liar, cheat, and master criminal.

In sum, Mr. Jeffery has abjectly *failed* both in his original motion, his authoring of non-party Kapustin's motions, as well as in respondents' instant Exceptions to demonstrate any alleged "conflict of interest" arising out of the undersigned's representation of the Complainants herein, purportedly posed by the undersigned having previously represented Kapustin in a separate and

unrelated matter. Further, and to the extent that Kapustin is not a party to the case at bar, and as the potential testimony and information adduced from Kapustin during any ensuing discovery herein would be adverse respondents Hitrinov and Empire United Lines Co. Inc. (and *not* to Kapustin), it is difficult if not impossible to comprehend *how* or in *what* way any conflict of interest is implied.

Despite Mr. Jeffrey's megalomaniacal world view of himself as the arbiter of all law and facts in this matter, one thing remains clear: *at no time* will Mr. Jeffrey be permitted to intrude or insert himself into the attorney-client relationship between complainants' counsel and the complainants herein despite his best, albeit grossly unethical and unsupported attempts to do so.

Uncivility

It is plainly evident that there is no ethical standard which Mr. Jeffrey will not breach; no low to which Mr. Jeffrey will not stoop; no lie that Mr. Jeffrey will not tell; no depth to which Mr. Jeffrey will not sink; and no limit to uncivility that Mr. Jeffrey will not exceed in furtherance of pursuing his distorted, personal, and legally bereft agenda in this litigation.

It is respectfully submitted that in regard to any alleged claims of "uncivility" on the part of complainants' counsel as a proffered basis for revoking complainants' counsels' ability to practice before the Commission, said allegations are made with manifest 'unclean hands' on the part of Mr. Jeffrey directly.

While complainants vehemently disagree with Mr. Jeffrey's characterization of litigation as a "contact sport", the undersigned acknowledges Mr. Jeffrey's admission of having acted "less temperate than his norm", an admission at once galactic in its understatement which further can only leave the reader to wonder as to the state of Mr. Jeffrey's "norm" if his conduct and behavior complained of herein is naught but "less temperate" thereof.

Mr. Jeffrey goes on to purport to subscribe to a belief that "...a modicum of civility and courtesy [should be] preserved, and that the Commission may wish to consider the extreme level of uncivility displayed by complainants' counsel when deciding what to do" with regard to Mr. Jeffrey's Exceptions. It is respectfully submitted that in so propounding, Mr. Jeffrey has been far too modest in describing his own "intemperate" behavior and *gross* lack of civility. Such acts have included but are not limited to the following: calling the undersigned a "liar", and "inveterate liar"; belittling the undersigned's ability to read; querying "who is the biggest liar" referring to the undersigned and respondents' affiant, Kapustin described above by a sitting Federal Court Judge as a "liar", "cheat", "fraud", and a "master criminal"; accusing the undersigned of falsifying documents; accusing the undersigned of lying as to being the *sole* author of all correspondence, filings, and submissions in this matter; repeatedly condescending the undersigned as to "learning the rules", and demeaning the undersigned's understanding of same; accusing the undersigned in papers docketed with the Commission of being a "coward", thus denigrating the undersigned's distinguished military service record; imputing alleged 'criminal intent' regarding a reference to a popular song lyric, and grossly mischaracterizing same as a "prank"; and other uncountable acts of personal rudeness and incivility too numerous to list or mention. It is against this backdrop that Mr. Jeffrey disingenuously asks the Commission to scrutinize alleged conduct and behavior of the undersigned while turning a 'blind eye' to Mr. Jeffrey's own grossly uncivil acts, conduct and behavior.

As to Mr. Jeffrey's purported "arguments" (if they can fairly be characterized as such) complainants' counsel will address same to the extent a response is merited or required.

A prime example of the utter paucity of Mr. Jeffrey's "arguments" is that within which he has seriously suggested that the Commission "revoke complainants' counsel's privilege of

practicing before the Commission” upon ground of alleged misrepresentations concerning personal time taken by complainants’ counsel, and (unbelievably), matters concerning an auto response for complainants’ counsel’s office email. It is difficult if not impossible to comprehend how, and in what way, Mr. Jeffrey (or any stable person or competent attorney) could or would seriously argue in favor of revoking a fellow practitioner’s ability to ply their trade upon such infantile and childish nonsense. To the extent that Mr. Jeffrey has done so, however, the following is proffered in response thereto.

As the Commission may or may not be aware, complainants’ counsel is a sole practitioner. Further, while complainants’ counsel maintains office space, inclusive of an email address appurtenant thereto, complainants’ counsel often works out of his residence. Accordingly, complainants’ counsel utilizes an “auto-response” for ‘after hour’ emails (in which Mr. Jeffrey specializes) in order to advise that emails sent during said time period may not be received or read pending the next business day. As would be obvious to any normal thinking person whose mind is not cluttered with a bitter hatred or instability, the mere fact that said email is on auto-response precludes *neither* the reading of said email, *nor* a response to same by the undersigned. It is again difficult if not impossible to comprehend *how*, or in *what way* the foregoing could *remotely* constitute a basis for the revoking of complainants’ counsel’s ability to practice before the Commission, as punitively and ridiculously propounded by Mr. Jeffrey.

As to Mr. Jeffrey’s fallacious representations concerning personal time off taken by complainants’ counsel, words do not exist to describe the incredible irony of such accusations in light of Mr. Jeffrey’s disgusting practice of having used the death of his father as a pretext for garnering additional time for a submission, which the Presiding Officer in his Order of July 29, 2016 (a copy of which is annexed hereto as Appendix “6”) recognized might indeed constitute an

issue to be addressed before some other tribunal upon disposition of the instant matter. That said, and though Mr. Jeffrey is the last person on earth deserving of *any* explanation of personal time off taken by complainants' counsel, least Mr. Jeffrey's lies be mistaken for truth complainants' counsel responds as follows:

Complainants' counsel scheduled personal time off from July 13, 2016 through August 11, 2016. Though manifestly *none of Mr. Jeffrey's business*, the purpose of said time off encompassed a trip to Israel to attend to family matters, and additional days within which complainants' counsel's office was closed for business. The fact that complainants' counsel undertook to conduct a deposition on an unrelated matter during said time off is not only manifestly none of Mr. Jeffrey's business and *of no consequence whatsoever* with respect to litigation of the instant case (and certainly irrelevant to Mr. Jeffrey's Exceptions) and again constitutes *no ground whatsoever* for the draconian relief absurdly sought by Mr. Jeffrey upon such ridiculous grounds as those set forth above, which are now paraded before the Commission solely to detract and distract from Mr. Jeffrey's own bad behavior, uncivil conduct, and gross violations of the RPP.

Needless to say, Mr. Jeffrey's didactic and unsupported allegations cannot possibly serve as any reasonable basis for the Commission to issue an Order to Show Cause as frivolously requested by respondents herein through their counsel, Mr. Jeffery.

Further, and to the extent that the "heavily doctored" versions of said documents were *created by respondents*, there is "no blame to shift" other than to let such blame repose where it fairly belongs, to wit: upon Jeffrey/Werner and their mutual client, Hitrinov.

Of considerable entertainment value, amidst the abhorrent invective spewed forth by Mr. Jeffrey, is the entirely laughable concept of non-party Kapustin making *any* statement "under oath"

which is, to say the least, legally and morally bankrupt, and is an understatement of galactic proportions by Mr. Jeffrey's concession of Kapustin as "...not an entirely reliable witness".

Consequently, there exists neither falsity nor fabrication with respect to the documents proffered by complainants, in that if there is *any* false or fabricated documents which have been produced in this case, they have been produced *solely and exclusively* by Jeffrey/Werner and their mutual client, Hitrinov.

It is respectfully submitted that despite considerable effort to "throw enough 'mud' on the wall" in desperate hopes that some of it will stick, such picayune and pissant hyperbole at once reveals the utter frivolity and sheer desperation of Mr. Jeffrey's instant motion, which gives new meaning to the axiom of *de minimus non curat lex*.

Most disingenuous, is Mr. Jeffrey's repeated portrayal of himself as the "keeper of the Rules", akin to Moses descending from Mount Sinai with the stone tablets, which is completely belied by Mr. Jeffrey's constant and repeated violations of the Rules which he so fervently defends, by taking uncountable "bites at the apple" in the form of innumerable so-called "Status Reports" as pretexts for further failed argument on motions previously made, and additional filings *all filed without leave of the Presiding Officer*, reducing Mr. Jeffrey to *no one* to lecture *anyone* on the Rules of the Commission.

While the undersigned is reluctant (even as Mr. Jeffrey is demonstrably *not*) and otherwise loathe to parade "dirty laundry" before the Commission more appropriate to a playground sandbox dispute as opposed to a supposed serious application to revoke an attorney's ability to practice law before the Commission, least the Commission require 'proof' in the form annexed by Mr. Jeffrey, included hereto as Appendix "7" is a series of emails containing the very vile, vituperative, and otherwise uncivil language which Mr. Jeffrey unabashedly decries while at the same moment,

engaging in same. Notable within the attached is the following: a) accusing the undersigned of engaging in “ethical lapses” warranting the attention of the Presiding Officer; b) characterizing the undersigned’s filings and submissions in this matter as “improvident grumbling”; c) telling the undersigned to “grow up” and “learn the rules”; d) wrongfully accusing the undersigned of “making motions by email”; e) telling the undersigned “you are free to lie as much as you like”; f) accusing the undersigned of being “...not just an incompetent lawyer but an inveterate liar” (which far and away exceeds any substantive criticism of Mr. Jeffrey’s junior associate, Ms. Vohra); g) accusing the undersigned of being “mentally disturbed”; and h) accusing the undersigned of not knowing how to read (i.e. “...if you knew how to read”). Apparently, Mr. Jeffrey is of the opinion that the foregoing falls within the “modicum of civility” that he propounds to uphold, the patent absurdity of which is blatantly exposed by his own insulting and uncivil communications set forth above, which are only the “tip of the iceberg” as to the plethora of insults, opprobrium, and ad hominem attacks against the undersigned, from the inception of this litigation, and continuing to the time of Mr. Jeffrey’s instant Exceptions. It is respectfully submitted that any decision from this Honorable Commission on Mr. Jeffrey’s requested relief should and must necessarily take into consideration Mr. Jeffrey’s own manifest bad behavior described above.

Mr. Jeffrey’s Baseless Accusations against Complainants’ Counsel

Respondents’ Accusations of Meritless Claims

Mr. Jeffrey has further purported to argue that the undersigned’s ability to practice before the Commission should be revoked upon ground of having made claims under the Shipping Act which Mr. Jeffery considers to be frivolous or otherwise false.

To the extent that this issue is presently the subject of a pending motion which is, as of the time of this writing, *sub judice* with the Presiding Officer, it is respectfully submitted that having

not yet received a decision thereon, Mr. Jeffrey's unproven and unfounded allegations and accusations thereon cannot possibly serve as any basis for any disciplinary action whatsoever against complainants' counsel, to the point of constituting and frivolous basis for Mr. Jeffrey's instant requested relief, itself deserving of appropriate disciplinary action.

Falsification of Documents

Mr. Jeffery has accused complainants' counsel of deliberately submitted falsified documents in this matter.

With respect to Mr. Jeffrey's bombastic pronouncement that complainants' counsel has allegedly "...rel[ied] upon invoices they know to be falsified...", once again, complainants are *gobsmacked* by the indescribable irony of Jeffrey/Werner accusing *anyone* of relying on falsified documents, in light of Jeffrey/Werner's proffer of an affidavit purporting to be that of their mutual client, Hitrinov containing an obviously forged signature, a copy of which is annexed hereto as Appendix "8". Notably, the conclusions as to said signature being an obvious forgery are drawn by a forensics expert (see Appendix "9"), as opposed to the didactic pronouncements of an unbalanced attorney or his cohort. Also noteworthy, is the fact that upon having been exposed for submitting a fraudulent document containing an obviously forged signature of Hitrinov, Jeffrey/Werner attempted to remedy the situation by providing yet *another* document purporting to contain the signature of Hitrinov, which was not only undated, but misrepresented an alleged notarization thereof by an individual who failed to enter appropriate identification and certification data concerning said fraudulent notarization (see Appendix "10"). Conspicuously absent and inexplicably missing from Mr. Jeffrey's pronouncements is *any* affidavit from respondent, Hitrinov or any other representative of respondent Empire United Lines Co. Inc. ("EUL"), attesting as to which of the documents is the invoice "actually sent" to Kapustin. Needless to say, such

documents cannot be ‘self-verified’ through the attorney’s affirmation of appearing counsel, let alone representations of a non-appearing counsel, Werner. Accordingly, this would appear to be more of a case of *falsus in uno* rather than *res ipsa loquitur*.

Alternatively stated, there is indeed a second set of “heavily doctored” invoices at issue with respect to each of the four subject automobiles, however, that particular fraud, along with *all* other fraudulent conduct and behavior in this case, rests squarely with Jeffrey/Werner and their mutual client, Hitrinov.

Respondents have further based their instant ill-founded and frivolous motion upon alleged ‘evidence’ “...that at least some of the ‘shipping documents’ [sic] are nothing more than fraudulent fabrications” (emphasis added).

Respondents have additionally alleged “...that at least some of those documents are fraudulent” to the extent that Respondents ‘believe’ that certain documents were “doctored” by the use of a scanner “...to appear as an original”. Needless to say, Respondents have not submitted a shred of evidence to support their outrageous allegation other than their own misguided “belief”.

Notwithstanding Respondents’ extraneous reference to their separately filed Motion for Judgment on the Pleadings, inclusive of a self-serving Declaration by individually named Respondent, Mr. Hitrinov, *conspicuously absent* from Respondents’ motion papers is *any* Affidavit by either a forensics expert or other qualified individual to support the false and didactic pronouncements of Mr. Hitrinov and his counsel.

Complainants’ Counsel’s Outgoing Email Messages and Alleged Unavailability

The undersigned will not dignify by responding to Mr. Jeffrey’s outrageous suggestion that the undersigned’s ability to practice law before the Commission should be revoked upon grounds of Mr. Jeffrey’s apparent dissatisfaction with the form and content of the undersigned’s outgoing

email messages, other than to note acute embarrassment for Mr. Jeffery, for seriously propounding such an argument. Mr. Jeffrey's unfounded allegations are significant, however, for a) revealing his "kitchen sink" approach to furthering his personal vendetta against the undersigned and demonstrated disdain for the Presiding Officer; and b) evincing a consciousness of the utter frivolity of such unfounded accusations, seriously submitted as part of Mr. Jeffrey's so-called exceptions.

Production of Alleged "Confidential" Documents

The Commission is respectfully asked to note that the material that Kapustin seeks to strike and seal are a matter of public record, in that said documents were exchanged in unrelated matters under color of no Order or Stipulation of Confidentiality, and under no Order of Sealing. In that the documents that Kapustin now seeks to seal or strike have thus been communicated to third persons with no objection, it is respectfully submitted that Kapustin cannot now attempt to "put the genie back in the bottle" by improperly seeking the relief of a sealing of records publicly exchanged with third parties as described above.

Additionally, and apart from furthering his baselessly denied but blatantly apparent personal vendetta against complainants' counsel, whom Kapustin has described in his motion papers as "liar" and "mentally sick", Kapustin has abjectly failed to demonstrate any good cause whatsoever; particularly in that he has not, at the time of the filing of his motion, been granted leave to intervene, or set forth any prima facie case as to why his ill-founded and incoherent motion should be granted.

Authorship of Kapustin Affidavits

It is undisputed that non-party Kapustin neither speaks, reads, nor understands English.

While Kapustin purports to be in Russia at the time that said affidavits were created, in fact the envelopes containing same bore postmarks in the United States.

It is further undisputed that while Kapustin may have access to the Commission's electronic docket, to the extent that upon information and belief, said docket is updated on a *monthly* basis, Kapustin would have had no other timely access to the materials referenced in affidavits purportedly authored by him unless said subsequent filings were being "funneled" to Kapustin, most reasonably by those who are presently championing his cause, to wit: Jeffrey/Werner.

It is respectfully further submitted that even a cursory reading of the affidavits supposedly authored by Kapustin instantly makes clear those portions which were written by an attorney.

Indicative of the foregoing, the email annexed as Appendix "4" clearly reflects ongoing communications between Mr. Jeffrey's "coordinating counsel" Werner, and Kapustin, whose aid Werner openly solicited in a separate proceeding at a time when Werner was representing an adverse party against Kapustin.

While the undersigned will repose complete confidence in the Commission's ability to discern whether the subject affidavits were or not actually authored by Kapustin, clearly the evidence points toward involvement by attorneys in the United States, most reasonably, Jeffrey/Werner.

Consequently, it is respectfully submitted that it cannot reasonably be concluded that complainants' questioning of the veracity of the authorship of Kapustin's affidavits, utilized and relied upon by Mr. Jeffrey to his perceived advantage can serve as any basis for the granting of respondents' requested relief in the form of any disciplinary action whatsoever against complainants' counsel.

The Commission is additionally and respectfully asked to note that the Kapustin affidavits are not the only documents of questionable authenticity proffered and relied upon by Mr. Jeffrey in light of the affidavit of respondent Hitrinov which is the subject of a separate pending motion, based upon a forged signature as opined by a handwriting expert exchanged by complainants herein.

Complainants' Copying of Filings to Mr. Jeffrey's Managing Partner

As an Officer of the Court, and to the extent that it is complainants' belief that Mr. Jeffrey is unethically 'bilking' his client through the nonsense and rubbish that he has heaped upon this litigation through his incessant frivolous filings in this matter, now totaling over One-Hundred and Twenty (120) most of which, if not were caused or occasioned by Mr. Jeffrey, which did and do nothing to advance his clients' defenses; and to the extent that same would not appear to be in the best interests of his client; together with Mr. Jeffrey's ever-growing evidence of instability, the undersigned feels it is his continuing duty to apprise Mr. Lesk, as Managing Attorney of all past, present and future examples of such behavior and conduct.

It is respectfully submitted that Mr. Jeffrey's only basis for objecting to the foregoing is by reason of having been (justifiably) embarrassed before a Senior Partner of his firm by reason of his unacceptable bad behavior and conduct detailed throughout this brief. Certainly, and as is the case with each and every one of Mr. Jeffrey's purported "arguments", it is respectfully submitted that neither can the foregoing possibly serve as any basis for the imposing of any disciplinary action against complainants' counsel, much less revocation of the undersigned's ability to practice law before the Commission.

Mr. Jeffrey's Disdain and Contempt for the Presiding Officer's Decision

Throughout his Exceptions, Mr. Jeffrey has demonstrated utter disdain and contempt for the Presiding Officer and his resultant decision of September 16, 2016.

In a confused argument Mr. Jeffrey has alternately propounded that it was “a mistake” for the Presiding Officer to have ruled that it was beyond his jurisdiction to decide the issue of whether or not the parties’ counsels’ ability to practice law before the Commission should be revoked, or whether other disciplinary action should be imposed.

Despite twenty-seven (27) pages of lecturing on “the law according to Jeffrey”, inclusive of Mr. Jeffrey’s criticism and proposed “corrections” to the Rules as they presently exist, it still remains entirely unclear as to whether Mr. Jeffrey is a) asking the Commission to remand respondents’ instant requested relief back to Judge Guthridge who has already decided that he cannot rule on said requested relief for the reasons stated in his order of September 16, 2016, and as whether it is this specific ruling that Mr. Jeffrey takes exceptions to; b) whether Mr. Jeffrey is asking the Commission to make a *de novo* decision in the first instance; or c) some combination of the preceding.

To the extent that Mr. Jeffrey seeks to have the matter remanded back to Judge Guthridge, it is respectfully submitted that the foregoing may lend itself to the “law according to Jeffrey”, but runs contrary to the RPP as well as the Presiding Officer’s Order of September 16, 2016 which Mr. Jeffrey purports to now take Exceptions to.

To the extent that the Commission may elect to conclude that Mr. Jeffrey is instead asking for *de novo* relief in the first instance, it is respectfully submitted that based upon the foregoing, that Mr. Jeffrey has abjectly failed to establish neither any credible *prima facie* case or demonstration of any conduct or actions by complainants’ counsel warranting any form of

disciplinary action, let alone revocation of the ability to practice before the Commission; nor has Mr. Jeffrey set forth a single act, allegation, accusation, or violation of the RPP that he himself has not engaged in, with repeated impunity.

Thus, in an epic exercise of “the pot calling the kettle black” and in a continuing manifestation of “projection” and “transference” Mr. Jeffrey has catalogued a list of alleged transgressions that he himself has plied and engaged in with abandon. Consequently, if the acts and conduct of which Mr. Jeffrey so vehemently and viscerally complains of in his purported Exceptions are those which he has demonstrably and undisputedly personally engaged in himself as set forth above, then if any disciplinary action is to be taken, under the rubric of being hoisted by one’s own petard, such action must be taken against Mr. Jeffrey and his firm.

The Fallacy of the Fictitious Company, “Global Auto Enterprise”

As to Respondents’ reference to invoices from one “Global Auto Enterprise”, it is noted at the outset that no such entity exists other than in the frivolous arguments and false representations of Mr. Hitrinov and his counsel. Indeed, and as Respondents are well aware, the actual entity listed as seller of the subject vehicles in numerous documents is “Global Auto Inc.” (“Global”). Conspicuously and conveniently *absent* from Respondents’ instant frivolous motion is *any* Affidavit or declaration by the Principal of Global and creator of the invoices, Kapustin. Needless to say, Complainants are unable to opine (as neither are Respondents-movants) as to *how* or *why* Kapustin may have included certain language in some invoices, but not in others. While such inquiry *may* arguably be the subject of a deposition of Kapustin, needless to say the foregoing *cannot* reasonably be construed to constitute “manipulated documents” or “obvious or apparent fakes” as recklessly and baselessly propounded by Respondents in their instant frivolous motion,

unless said documents are manipulated and/or faked by the proven liar, fraud cheat, and “master criminal”, Kapustin.

CONCLUSION

As set forth above, as well as in numerous filings docketed with the Commission, and letters filed both with the Presiding Officer and the Office of the Secretary of the Commission, from the inception of this litigation Mr. Jeffery has conducted himself in a manner which can only be described as rude, unprofessional, obnoxious and uncivil.

Mr. Jeffery has further bombarded and bludgeoned both the Presiding officer and complainants counsel with countless submissions, filings, emails, and correspondence unprecedented in their weight and number in a matter which has not yet even proceeded to depositions.

Mr. Jeffrey’s obvious and tactical contrivance for doing so, is not only to bill his client at each and every available opportunity, but rather is calculated to vex, annoy, harass, and intimidate complainants and their counsel herein (of which Mr. Jeffrey’s latest attempt is only his most recent effort); and to distract the Presiding Officer and now the Commission from ruling on other motions presently pending including but not limited to respondents Motion for Judgment on the Pleadings herein.

Owing to a pronounced inability to in any way defend against complainants’ instant claims ‘on the merits’ thereof, Mr. Jeffery has resorted to one tactical contrivance after another to at any and all costs extricate his client from this lawsuit absent discovery, litigation and an ensuing judgment on the merits.

Mr. Jeffrey first attempted, through fraudulent affidavits purporting to have been written by non-party, Kapustin but upon information and belief authored by Mr. Jeffrey and his minion,

Werner to “disqualify” the undersigned based upon an alleged conflict of interest. Though presently still *sub judice*, suffice it to say said motion is completely without merit, and has been propounded by an individual completely without morals in the form of non-party, Kapustin, albeit that Kapustin has been openly “championed” by Jeffrey/Werner.

Mr. Jeffery then attempted to have the undersigned’s ability to practice before the Commission revoked in his ill-founded motion made to the Presiding Officer, who declined to rule on same for the reasons stated in Judge Guthridge’s Order of September 16, 2016.

Mr. Jeffery has now taken the extraordinary step of, within the guise of purported “Exceptions” to Judge Guthridge’s decision, asked the Commission to, in effect, issue a *de novo* ruling upon issues that Judge Guthridge as Presiding officer, has “passed” on.

It is respectfully submitted that in considering the alleged bases for Mr. Jeffery’s instant requested relief, inclusive of open criticism of a junior associate who has demonstrated her incompetence with regard to misfiling and misidentifying various submissions in this matter; allegations and accusations regarding the undersigned’s form and method of telephonic voicemail, emails forwarding messages, and how the undersigned occupies time away from the office, it is further respectfully submitted that the foregoing not only abundantly reveals the utter frivolity of Mr. Jeffery’s instant requested relief, as well as the true tactical basis for the interposing of same, but worse denigrates the sanctity and the dignity of the Commission itself, as well as the rules by which all attorneys are held accountable, including Mr. Jeffery.

For all these reasons, together with that which is set forth above, as well as in complainants’ original response to Mr. Jeffery’s ill-founded requested relief the first time it was made, complainants respectfully request that the Commission accept and uphold the Presiding Officer’s decision to deny jurisdiction over this issue and decline to do that which the Presiding Officer

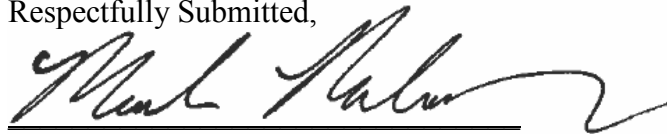
declined to do, by denying respondents' request for an Order to Show Cause as to why complainants should not be subjected to disciplinary action in its entirety, *with prejudice*.

In closing, it is indeed true that "one bad apple can spoil the barrel" – especially when that apple is rotten to the core.

WHEREFORE, and based upon the foregoing, it is respectfully submitted that the Commission should now deny the frivolous, baseless, retributive, and punitive requested relief of respondents by Mr. Jeffrey in its entirety, with prejudice, by (1) declining to remand this matter back to the Presiding Officer, or to have the Presiding Officer "review" same; (2) declining to conduct a de novo review of the Presiding Officer's decision; and (3) declining to issue an Order to Show Cause as requested, inclusive of denying the relief requested therein, together with such other and further relief as the Commission may deem just and proper under the circumstances.

Dated: October 20, 2016
Brooklyn, New York

Respectfully Submitted,

A handwritten signature in dark ink, appearing to read "Marcus A. Nussbaum", written over a horizontal line.

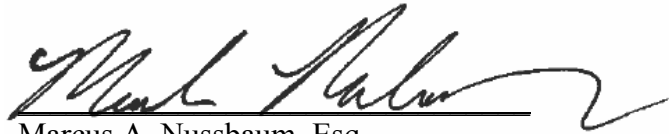
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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the **COMPLAINANTS' RESPONSE TO EXCEPTIONS OF RESPONDENTS' COUNSEL TO THE PRESIDING OFFICER'S SEPTEMBER 16 DECISION NOT TO CONSIDER DISCIPLINARY ACTION AGAINST COMPLAINANTS' COUNSEL** and **APPENDIX** upon Respondents' Counsel at the following address:

Nixon Peabody LLP
Attn: Eric C. Jeffrey, Esq.
799 9th Street NW, Suite 500
Washington, DC 20001-4501

by first class mail, postage prepaid, and by email (ejeffrey@nixonpeabody.com).

A handwritten signature in black ink, appearing to read 'Marcus A. Nussbaum', is written over a horizontal line.

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Dated: October 20, 2016 in Brooklyn, New York.